

DB SERP

Nonqualified Defined Benefit
Supplemental Executive Retirement Plan
(SERP)
Financed with COLI

Charles P Johnson & Associates

CONFIDENTIAL

For Presentation to Company Management
Not for Distribution to Plan Participants



October 27, 2025



Charles P Johnson & Associates

SUPPLEMENTAL EXECUTIVE RETIREMENT PLAN (SERP)

Financed with **COMPANY-OWNED LIFE INSURANCE (COLI)**

The information contained in this analysis is based solely upon data, documents, assumptions, and other information furnished by the employer, and the analysis is subject to change based upon actual experience. COLI and BOLI products presented herein are intended to demonstrate the general impact of products utilized. Details regarding specific insurance products are subject to illustrations and actual underwriting of participants. See Disclosure for policy assumptions and policy illustrations for more details.

Nothing contained herein is, or should be construed as, legal, tax, or accounting advice, nor was it intended nor can it be used for the purpose of avoiding penalties under the Internal Revenue Code or applicable state or local tax provisions. This communication was written to support the promotion or marketing of the matters or transactions addressed herein, and clients should always consult with their independent professional advisors to seek advice on the applicability of this information to their particular circumstances.



Disclosure

This model presents the structure and operation of a nonqualified supplemental executive retirement plan ("SERP") specifically designed for the entity identified. There is considerable flexibility in designing these plans, so it is important that the objectives be clearly set forth and that the employer satisfy itself that the plan it adopts is designed to meet these objectives. In addition, the design and success of the plan will depend on the assumptions and employee census data utilized, so it is important that the employer review this data and assumptions to make sure that they are accurate and realistic.

The after tax costs shown in this model do not reflect any federal corporate Alternative Minimum Tax (AMT) which may be due. Because particular facts and circumstances may vary, you must consult your tax advisor regarding all questions concerning the tax implications of life insurance policies and supplemental plans.

The financial effects presented in this model depend significantly on the expected tax treatment of individual life insurance policies. This presentation represents our understanding of the application of federal income tax laws but should not be construed as tax or legal advice. The parties must place their reliance upon the advice of their own tax and legal advisors for the actual results which may be obtained.

An executive owes taxes on plan benefits upon receipt of the benefit payments if the employer is a for profit entity, but upon vesting for a not-for-profit employer. If an executives dies, plan benefits may be subject to estate taxes. Because particular facts and circumstances may vary, executives should consult their tax and legal advisors for the tax implications of this plan.

The Employee Retirement Income Security Act of 1974 (ERISA) and federal and state securities laws may impose regulatory requirements on the plan presented herein. In addition, a number of written agreements may need to be prepared and executed in connection with the plan. Employers and employees must consult their own legal and tax advisors regarding the plan provisions. A securities registration may be advisable in certain cases.

This presentation demonstrates how a life insurance policy can operate within an executive benefit plan to provide advantages to both employers and executives. Material may be presented on both a composite and individual executive basis. Composite insurance values are combined individual values. Please note that insurance values are hypothetical; values shown are not guaranteed. Insurance values are highly sensitive to the assumptions and may show different results if these assumptions are changed or not met. The model is based on hypothetical pricing reflecting products available in the marketplace rather than any specific carrier's policy. The model presents current charges and hypothetical investment returns for variable universal life policies. For variable universal life, any hypotheticals used are not meant to project or predict investment results as such forecasts are strictly prohibited by FINRA rules. The purpose of any hypothetical return is to show how the performance of the underlying investment accounts could affect the policy cash value and death benefit.

The cost of insurance of a variable universal life policy may be paid in cash or by internal policy values. A variable policy's cash value, cash surrender value and, in some cases, death benefits will vary, since the values of the investment divisions of the separate accounts are not guaranteed and will fluctuate based on market conditions. These fluctuations may result in insufficient funds being available to implement your stated objectives. A policy's cash value and death benefit will be reduced by any policy loans and withdrawals. If the loan is on a variable universal life policy, the borrowed funds will not participate in the investment performance of the separate accounts, although they will be credited with a fixed rate of interest. A policy may lapse due to insufficient premium and/or poor performance. Loans or withdrawals may cause a policy to lapse. Adverse tax consequences could result if a policy with outstanding loans ends or is surrendered or is permitted to lapse. The same is true if the insurer charges more than the charges and expenses that are reflected in this model, as the insurer is permitted to charge up to the maximum charges and expenses that are stated in the policy. In either case, lower earnings and/or higher charges and expenses may cause lower cash value accumulations than originally illustrated. These lower cash values may prevent the policy from achieving its objectives, and may cause the policy to lapse. It is emphasized that the results in this model are hypothetical only and should not be deemed a representation of a particular policy or future results. The insurance values are neither estimates nor guarantees of future performance.

When you purchase a specific VUL product, you will receive a product and fund prospectus for that product. Investors are asked to consider the investment objectives, risks and charges and expenses of the investment carefully before investing. Both the product and fund prospectuses contain this and other information about the product and underlying investment options. Please read the prospectuses carefully before investing.

10/27/2025



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Considerations When Designing Nonqualified Benefit Plans

As an organization considers how best to design and implement a nonqualified benefit program for its top executives, the organization needs to consider the various options available, and which ones are best suited to meet its executive benefit objectives.

Put simply, what is the organization trying to accomplish? Does it want to provide selected executives with incentives that encourage tenure with the organization and motivate long-term performance? Does it want to help selected executives achieve greater financial security as a reward for superior performance? Or, perhaps restore benefit levels that have been lost due to qualified pension gaps?

In designing retirement plans, the Company has two broad options: defined benefit and defined contribution programs.

Defined benefit plans are generally non-contributory: benefits are financed exclusively by the employer. This option gives the employer maximum flexibility when it comes to plan design and complete control in the benefit structure. Defined benefit plans can act as "golden handcuffs." Defined benefit plans may also be designed as "age independent," i.e., comparable benefits can be offered to 45, 55, and 65 year-old employees. Defined benefit programs can be a defined percentage of future or current compensation, a fixed dollar amount, or can reward past and/or future service, through a "unit credit" approach.

Defined contribution plans can be funded by employee deferrals, employer contributions, or a combination of both. Defined contribution retirement plans are generally most attractive to younger employees, where sufficient time to retirement is available to accumulate funds and realize the compounded growth of investment returns. Programs can be structured to permit employees to select the investment allocation of their contributions and their balances.

Cash flow, financial statement effects, group demographics, vesting, and benefit security may all have an impact on the Company's decisions as to which programs best meet its objectives.



SERP Actuarial Modeling System

Schiff Executive Benefits has developed a unique and proprietary management tool and actuarial modeling system called ExecNav, which aids in designing and administering non-qualified defined benefit Supplemental Executive Retirement Programs (SERPs).

This system typically applies to all eligible employee SERP participants within C-corporations, and eligible employee participants in pass-through entities (e.g., S-corporations, partnerships, LLPs and LLCs). It can also be used to support partner or member capital account obligations as well as ESOP shareholder redemptions.

Based on the plan design and actuarial assumptions developed by Schiff Executive Benefits and the client, the SERP system illustrates:

- ☐ Individual participant pre- and post-retirement benefits
- ☐ Year-by-year liability-asset matching analyses
- ☐ Year-by-year company cash flow analyses
- ☐ Year-by-year accounting impact on the Company's earnings statement
- ☐ Year-by-year accounting impact on the Company's balance sheet
- ☐ Funding alternative analyses
- ☐ Suggested accounting journal entries and associated financial statement notes
- ☐ Year-by-year audit trails
- ☐ Detailed supporting schedules

ExecNav provides the Company a dynamic tool to help management and the board of directors design the most appropriate SERP arrangements to meet specific company objectives in an efficient and cost-effective manner.



SERP Benefit Formula

The program proposed is commonly referred to as a nonqualified Defined Benefit SERP (Supplemental Executive Retirement Plan). Under this structure, each participant's retirement benefit is based upon a specified percentage of the participant's final average salary.

The Company has broad flexibility in benefit design, depending upon the Company's objectives. For example, it can structure this type of SERP with different percentages for each participant or management tier; or fixed dollar retirement benefits can be used (e.g. \$75,000 per year). Alternatively, benefits can be structured on a "Unit Credit" approach, using the same or different unit credits for past and future service. The Company can also have different unit credit formulas for each tier of management.

The benefit payment period may also offer flexibility. A typical benefit payment period is the participant's lifetime, with a guaranteed minimum period of ten years. The organization may have the ability to offer an alternative benefit that has the same "actuarial equivalent" (or present value equivalent) under the terms of the plan document. Alternatively, a "term certain" period may be offered, such as a benefit for a fixed period of 10 or 15 years. In addition, joint and survivor benefit options may be provided.

Similarly, pre-retirement survivor benefits can be structured in a different manner, with a different formula for each management tier. It is important to point out that these survivor benefits do not represent life insurance; these benefits are taxable to a participant's beneficiaries when received, and the benefits are deductible by the Company when paid (assuming, of course, that the Company is a taxpayer). At the same time, participants are not taxed currently on the value of the survivor benefit, as they would be were the benefits structured as life insurance.



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Participant Benefits Formula

Defined Benefit SERP

NORMAL RETIREMENT BENEFITS

- ☐ Payable to a participant upon retirement and/or to the participant's designated beneficiary if death occurs after retirement, during the period certain
- ☐ Formula for retirement payments (based on the participant's final average salary [FAS] for the highest five consecutive years of plan participation):

Targeted benefit account balance plan from a deemed contribution with option for in-service payouts.

- ☐ Payout period: ***Lifetime***
- ☐ Guaranteed minimum payout period certain: ***10 Years***

EARLY RETIREMENT BENEFITS

- ☐ Actuarially reduced Normal Retirement Benefit
(may be further adjusted for vesting and accrual schedules)

PRE-RETIREMENT SURVIVOR BENEFITS

- ☐ Payable to the participant's designated beneficiary upon participant's death prior to retirement, while employed by the Company
- ☐ Formula for survivor payments (based on the participant's recognized salary at the date of death):

***100.0% of salary paid for one year following death; plus
50% of salary paid for each of the next two years***

- ☐ Guaranteed payout period certain: ***3 Years***



Plan Specifications and Actuarial Assumptions

Various assumptions are used to develop this SERP model. While the Company has significant flexibility in selecting the various specifications used for the analysis, Schiff Executive Benefits recommends that the Company use realistic assumptions both individually and in the aggregate. If the Company is comfortable that the aggregate assumptions are reasonable, then the assumption as to results should be reasonable.

Schiff Executive Benefits also recommends that the Company annually review the benefit program and conduct an actuarial valuation, with current data and current assumptions, to confirm the anticipated results continue to be reasonable. Schiff Executive Benefits can assist in this Annual Review

Of particular note is the assumption for Long Term Corporate Marginal Tax Rate. This assumption is intended to reflect the long term nature of this program (often 30 to 40 years or longer). Consequently, the rate may not reflect the Company's current marginal tax rate.

The assumption for Average Annual Growth in Salary (Salary Scale) should also reflect the Company's best judgment of the impact of inflation on executive salaries. Actual annual changes and promotions are typically taken into account as part of the annual review process.

Normal Retirement Age (NRA) can also be a unique age for each participant, or tier of participants, as the Company may desire.

Participation in a SERP is typically limited to a "top hat" group of executives as defined by ERISA. "Top hat" is broadly defined as a select group of key management or highly compensated individuals. Individuals who do not fall within the "top hat" definition generally must be excluded from participation to avoid adverse consequences under ERISA.



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Plan Specifications and Actuarial Assumptions Overview

Plan Effective Date: October 27, 2025

Long-Term Marginal Tax Rate: 21.00%

Accounting Liability Interest Discount Rate: 5.75%

Assumed Hypothetical COLI Net Rate of Return: 6.59%

Participation Criteria:

- a. Individual selection as determined by the Board of Directors
- b. Participation for retirement benefits limited to a "top hat" group, defined by ERISA as a select group of key management or highly compensated employees

Accounting Accrual Method:

Financial Accounting Standards Board Accounting Standards Codification:

- a. FASB ASC 715-30
- b. FASB ASC 740-10

COLI Accounting Method:

FASB ASC 325-30

Mortality Assumption:

- a. Mortality at Life Expectancy (generally age 84), for benefit and insurance computations
- b. Mortality Table used pursuant to IRC 417(e), for accounting liability & other calculations

Normal Retirement Age (NRA):

Generally age 65 with no less than five years of plan participation

Early Retirement Age (ERA):

Typically age 55 with ten years of service, and five years of plan participation

Average Annual Growth in Salary (Salary Scale):

3.0% per year compounded to retirement

COLI Marginal Alternative Minimum Tax (AMT) Rate:

Not Applicable

COLI Products:

This model is presented using hypothetical pricing reflecting products available in the marketplace and is intended to demonstrate the general impact of products utilized. Details regarding specific life insurance products are subject to illustrations and actual underwriting of participants. The hypothetical rates and values shown are not guaranteed.



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SERP Plan Census

	Participant	Gender	Smoker	Date of Birth	Nearest Age	Date of Hire	Years of Service	Current Recognized Salary
1	Paul Johnson *	Male	N / A	09/19/1951	74	07/06/1976	49	162,240
2	Charles Johnson II *	Male	N / A	04/02/1953	73	04/20/1981	45	141,440
3	James Thren	Male	N / A	06/15/1967	58	09/30/1985	40	201,760
4	Daniel Burke JR.	Male	N / A	02/24/1981	45	04/01/2002	24	128,960
5	Robyn Barnhart	Female	N / A	08/24/1982	43	05/19/2004	21	175,760
6	Richard Ingram	Male	N / A	12/24/1981	44	05/16/2006	19	133,120
7	Haitham Hijazi	Male	N / A	04/16/1959	67	05/20/2019	6	326,560
8	Brian Hargis	Male	N / A	06/22/1990	35	06/28/2019	6	134,992
9	Philip Hughes	Male	N / A	07/21/1971	54	10/01/2020	5	244,400
10	Amy Sommer	Female	N / A	07/08/1981	44	06/28/2021	4	160,160
11	Sean Peiffer	Male	N / A	08/28/1986	39	09/12/2022	3	195,520
12	Timothy Stemann	Male	N / A	06/28/1975	50	03/13/2023	3	156,000
13	Alexander Bergmann	Male	N / A	09/26/1987	38	04/08/2025	1	166,400
14	Brian Thomas	Male	N / A	09/08/1975	50	01/25/2016	10	168,480
15	James Fetchu	Male	N / A	05/02/1974	51	01/01/2004	22	161,200
16	Saifuddin Ahmed	Male	N / A	04/29/1965	60	01/31/2023	3	199,680
17	Shawn Jewell	Male	N / A	08/28/1961	64	01/01/2022	4	111,280
18	Teresa Kirby	Female	N / A	07/24/1961	64	01/25/1982	44	115,648
19	Wayne Richardson	Male	N / A	09/28/1968	57	06/12/1991	34	110,240
20	William Pugh	Male	N / A	05/25/1981	44	03/01/2004	22	110,656
21	Thomas Hall	Male	N / A	01/13/1993	33	12/31/2018	7	145,600
Total								\$ 3,450,096
20 SERP Participants 1 COLI Participants								

Notes & Assumptions:

- Age calculated to nearest birthday, based on plan effective date of October 27, 2025.
- Years of service calculated to nearest whole year.
- Participant data as of October 27, 2025, submitted by Charles P Johnson & Associates .
- Plan participation for retirement benefits is generally limited to a 'top hat' group, as defined by ERISA, to include a select group of key management or highly compensated employees.

* Denotes individuals participating in SERP, but for whom COLI has not been or will not be purchased.



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Plan Participant Summary - Projections

Participant	Service Age at Ret	Years at Ret	Salary at Retrmnt Age	5-Year Final Avg Salary [FAS]	Initial Pre-Ret Survivor Benefits	Final Pre-Ret Survivor Benefits	Annual SERP Percent FAS	Annual SERP Benefit	Total SERP Benefits to Life Expectancy
1 P. Johnson	79	54	182,603	172,271	324,480	365,205	0.00 %	0	0
2 C. Johnson II	78	50	159,192	150,185	282,880	318,384	0.00 %	0	0
3 J. Thren	65	47	240,912	227,281	403,520	481,824	40.00 %	90,912	1,818,249
4 D. Burke JR.	65	44	226,132	213,338	257,920	452,264	40.00 %	85,335	1,706,700
5 R. Barnhart	65	43	326,965	308,466	351,520	653,931	40.00 %	123,386	2,467,725
6 R. Ingram	65	40	240,430	226,826	266,240	480,859	40.00 %	90,730	1,814,608
7 H. Hijazi	72	11	367,546	346,750	653,120	735,092	40.00 %	138,700	2,774,002
8 B. Hargis	65	36	318,117	300,118	269,984	636,235	40.00 %	120,047	2,400,946
9 P. Hughes	65	16	328,453	309,869	488,800	656,906	40.00 %	123,948	2,478,953
10 A. Sommer	65	25	289,267	272,900	320,320	578,534	40.00 %	109,160	2,183,200
11 S. Peiffer	65	29	409,375	386,213	391,040	818,751	40.00 %	154,485	3,089,703
12 T. Stemann	65	18	235,964	222,613	312,000	471,928	40.00 %	89,045	1,780,905
13 A. Bergmann	65	28	358,857	338,553	332,800	717,714	40.00 %	135,421	2,708,420
14 B. Thomas	65	25	254,841	240,422	336,960	509,682	40.00 %	96,169	1,923,377
15 J. Fetchu	65	36	236,728	223,334	322,400	473,455	40.00 %	89,333	1,786,668
16 S. Ahmed	65	8	224,742	212,026	399,360	449,483	20.00 %	42,405	848,103
17 S. Jewell	69	9	125,247	118,160	222,560	250,493	10.00 %	11,816	236,320
18 T. Kirby	69	49	130,163	122,798	231,296	260,326	10.00 %	12,280	245,596
19 W. Richardson	65	42	135,581	127,910	220,480	271,163	30.00 %	38,373	767,460
20 W. Pugh	65	43	199,857	188,549	221,312	399,714	40.00 %	75,420	1,508,393
21 T. Hall	65	39	364,012	343,416	291,200	728,023	40.00 %	137,366	2,747,326

Total 20 SERP Participants

\$ 35,286,655

Notes & Assumptions:

- Initial Pre-retirement Survivor Benefit calculation assumes death in current year. Projected Final Pre-retirement Survivor Benefit calculation assumes death in year prior to projected retirement age.
- Projected Total Retirement Benefit calculation assumes death at later of life expectancy or end of maximum retirement benefit period (if applicable).
- Average annual growth in salary assumed to be 3.00%.



Financial Overview

As can be seen on page 4.2, benefits, when paid to a participant, are tax deductible to the Company. In contrast, contributions to a qualified plan are tax deductible currently, but benefits when paid are not tax deductible.

To the extent the Company has decided to accumulate funds to cover its benefit obligations, the most common choices are: mutual funds (or similar types of financial instruments) or COLI (Company-Owned Life Insurance). Within most variable COLI products are various investment divisions within a separate account which allows the policyholder to allocate the premium among the various investment divisions which fluctuate in value. By using COLI to invest in these investment divisions the Company seeks to take advantage of the tax favored treatment afforded life insurance. Additionally, the life insurance carrier often does not charge for transfers among the investment divisions, nor are such transfers a taxable event. Providers may limit the number of transfers in a policy year and may charge a fee after a certain number of transfers. Many carriers include restrictions on transfers from a fixed account to the investment divisions.

It is important to note that nonqualified plans are technically unfunded arrangements and the COLI is used to "informally" finance the benefit liabilities. As such, the COLI is not considered a Plan asset. See Appendix E for a more detailed discussion of funded and unfunded arrangements.

Four benefit funding (financing) options are presented in this analysis:

Option 1

Option 1 assumes that all SERP benefit payments, net of taxes, are made using Company cash flow, other than the COLI values. Ultimately, all Plan costs, including SERP benefit payments, net of taxes, and COLI premiums, will be recovered by the Company through receipt of tax-free life insurance death proceeds.

Option 2

Option 2 assumes that all SERP benefit payments, net of taxes, are made using COLI policy values, after the initial accumulation period, i.e., ten plan years. Policy values are accessed as benefits come due using tax-free withdrawals and policy loans. Policy values also become available upon receipt of tax-free life insurance death proceeds when insured participants die. The COLI provides funds for SERP benefit payments net of taxes but does **not** provide for complete cost recovery.



Financial Overview

Option 3

Option 3 assumes that all SERP benefit payments, net of taxes, are made using Company cash flow, other than the COLI values, similar in approach to Option 1. However, the annual premiums payments are identical to those used in Option 2, thereby creating a COLI asset pool identical to Option 2. Consequently, the COLI assets are available to provide the economic ability or "**financial wherewithal**" to pay the value of the benefits, net of taxes, using COLI assets after the accumulation period, if and when required by the Company. To the extent that the COLI assets are not used to pay the SERP benefits, net of taxes, as they become due, the COLI provides **cost recovery** of all Plan costs through the receipt of tax-free life insurance death proceeds.

Option 4

Option 4 assumes that all SERP benefit payments, net of taxes, are made using COLI policy values, after the initial accumulation period, identical in approach to Option 2. Further, the annual premium contributions are sufficient to also **recover** all additional plan costs from the life insurance death proceeds. The additional plan costs include the COLI premiums plus the value of the SERP benefit payments, net of taxes, made during the accumulation period. The COLI provides funds for SERP benefit payments and cost recovery.

Note

In each of these options, the COLI policy values are used to either cost recover or directly pay SERP benefits, in both cases **net of taxes**. The balance of the cash needed to pay SERP payments is generated from the tax benefit of the Company's deduction. To the extent that additional COLI values are used by the Company (to pay gross benefits, for example), there may not be sufficient COLI values in some years to provide for cost recovery or pay benefits.



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Overview - SERP Benefit Financing

Projected Benefit Payments	\$ 35,286,655
Less Anticipated Tax Deduction Savings (at 21.0%)	7,410,197
Projected After-Tax SERP Benefit Costs	27,876,457

Projected Annual COLI Premium Range: *

Option 1:	Program Cost Recovery upon Mortality	\$ 790,803
Option 2:	Benefit Funding from COLI Values	1,841,943
Option 3:	Benefit Funding Wherewithal Based on COLI Values	1,841,943
Option 4:	Benefit Funding from COLI Values + Cost Recovery	1,895,003

* Assumed premium payment period is five years; out of pocket premiums assumed to stop after that point; actual premiums may be different if plan assumptions or actual policy performance vary.

Life Insurance Initial Average Face Amount per Insured Participant:

Option 1:	\$ 7,650,000
Options 2 & 3:	17,910,000
Option 4:	17,910,000

Number of SERP Participants: 21

Number of COLI Participants: 21



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Cash Flow & Earnings Summary - Totals for Life of Plan

	Benefit Funding Options			
	[1] Cost Recovery	[2] Benefit Funding	[3] Funding Wherewithal	[4] Bene Funding + Cost Recov
Cash Flow Summary				
Net Benefits Paid from Company Cash Flow [^]	(27,876,457)	(1,086,636)	(27,876,457)	(1,086,636)
Net Benefits Paid from COLI Assets	0	(26,789,821)	0	(26,789,821)
Net Benefits Paid - Total	(27,876,457)	(27,876,457)	(27,876,457)	(27,876,457)
COLI Premiums	(5,938,592)	(14,056,377)	(14,056,377)	(14,461,293)
COLI Death Benefits	33,815,049	6,785,644	77,037,344	6,724,367
COLI Policy Loans and Withdrawals	0	34,358,071	0	35,347,809
Net COLI Gain / (Loss)	27,876,457	27,087,338	62,980,967	27,610,883
Net Program Aggregate Cash Flow [*]	0	(789,119)	35,104,510	(265,574)
COLI Cost Recovery [*]	100%	97%	226%	99%
Earnings Summary				
Net Benefits Cost [^]	(71,437,177)	(71,437,177)	(71,437,177)	(71,437,177)
COLI Program Gain	27,876,457	27,087,338	62,980,967	27,610,883
Net Program Aggregate Gain / (Cost)	(43,560,720)	(44,349,840)	(8,456,210)	(43,826,294)

^{*} Generally, the Aggregate Cash Flow target for both Option 1 and Option 4 is zero; corresponding Cost Recovery target is 100%

[^] Assumed Mortality at Life Expectancy (generally age 84), for benefit and insurance computations

[^] Mortality Table used pursuant to IRC 417(e), for accounting liability & other calculations, as required under GAAP



Earnings Impact

The earnings impact of this program is based on GAAP (Generally Accepted Accounting Principles), pursuant to FASB ASC 715-30, Compensation - Retirement Benefits, Defined Benefit Plans - Pensions. In addition, a tax paying entity may record a deferred tax asset under FASB ASC 740-10, Income Taxes, Overall to reflect the reduction in taxes that will result from future employee benefit payments.

Prior to the Accounting Standards Codification, some organizations used other accounting methods, such as APB 12 or FAS 106. This model reflects accounting for the proposed nonqualified arrangement in accordance with FASB ASC 715-30.

The GAAP method of accounting for life insurance purchases is set forth in FASB ASC 325-30, Investments - - Other, Investments in Insurance Contracts. The policy cash surrender values are recognized as assets on the employer's balance sheet. The net annual "charge" or "credit" to earnings is the difference between the annual premium paid, the annual change in the cash surrender value, and the annual death proceeds received.

It is necessary to make certain assumptions regarding the mortality of the participants as well as the interest discount rate to be used, in calculating the present value of retirement benefits. In this regard, this actuarial model generally uses the mortality table guidance contained in IRC Sec. 417(e) [Pension Protection Act (PPA) of 2006 (P.L. 109-280)] for the assumption of mortality. This model also employs the Citigroup Pension Discount Curve, matching projected accrued benefit cash flows to comparable corporate bond durations, to develop the interest discount rate assumption. We believe both of these assumptions are consistent with current actuarial standards and industry practice, are reasonable, and produce reasonable results.

As indicated on page 2.4 of this actuarial model, the mortality assumptions used for GAAP purposes differ from those used for the benefit and insurance computations, resulting in slight differences in the total calculated projected benefits.



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Annual Impact on Earnings - Summary

Option 1 - Recovery of Net Program Costs from COLI upon Mortality

	[1]	[2]	[3]	[4]	[5]
Calendar Year Ending 12/31	Pre-Tax SERP Earnings Impact	Benefit Tax Deduction	Net SERP Earnings ** Impact	Hypothetical COLI Earnings Impact	Combined Earnings Impact
Totals ^	(90,426,807)	18,989,629	(71,437,177)	27,876,457	(43,560,720)
2025	(226,000)	47,460	(178,540)	(17,566)	(196,106)
2026	(920,005)	193,201	(726,804)	(55,126)	(781,929)
2027	(985,308)	206,915	(778,393)	(2,805)	(781,199)
2028	(1,055,866)	221,732	(834,134)	20,271	(813,863)
2029	(1,132,067)	237,734	(894,333)	28,782	(865,552)
2030	(1,147,243)	240,921	(906,322)	36,441	(869,881)
2031	(1,024,258)	215,094	(809,164)	55,538	(753,626)
2032	(1,069,319)	224,557	(844,762)	94,474	(750,288)
2033	(1,096,974)	230,364	(866,609)	149,166	(717,443)
2034	(1,137,941)	238,968	(898,973)	223,893	(675,081)
2035	(1,191,210)	250,154	(941,056)	288,198	(652,858)
2036	(1,220,599)	256,326	(964,273)	405,020	(559,254)
2037	(1,193,370)	250,608	(942,762)	430,771	(511,992)
2038	(1,240,340)	260,471	(979,869)	458,123	(521,746)
2039	(1,281,342)	269,082	(1,012,260)	487,959	(524,301)
2040	(1,272,019)	267,124	(1,004,895)	522,846	(482,049)
2041	(1,158,165)	243,215	(914,950)	564,688	(350,263)
2042	(1,007,851)	211,649	(796,202)	615,530	(180,672)
2043	(1,038,396)	218,063	(820,333)	667,595	(152,737)
2044	(1,071,544)	225,024	(846,520)	640,875	(205,645)
2045	(1,101,664)	231,349	(870,314)	708,327	(161,987)
2046	(1,090,693)	229,046	(861,648)	771,246	(90,402)
2047	(1,016,602)	213,487	(803,116)	647,885	(155,231)
2048	(994,761)	208,900	(785,861)	691,984	(93,877)
2049	(1,000,916)	210,192	(790,724)	754,195	(36,529)
2050	(1,007,976)	211,675	(796,301)	814,318	18,017
2051	(995,971)	209,154	(786,817)	778,418	(8,399)
2052	(922,731)	193,774	(728,958)	857,990	129,032
2053	(859,000)	180,390	(678,610)	803,241	124,630
2054	(841,334)	176,680	(664,654)	733,662	69,008

* This table illustrates annual earnings impact of the SERP-PLUS Program. COLI is illustrated to generate credits to earnings in the fourth year; the combined net impact on earnings turns positive by 2052.

** Reflects impact of actuarial mortality projections required under GAAP Accounting; 41.3% of plan participants are projected to be living at the beginning of the year of average life expectancy.

^ Represents Total over the life of the program, not limited to the 30 years displayed



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Annual Impact on Earnings - Summary

Option 2 - SERP Benefit Funding from COLI Assets

	[1]	[2]	[3]	[4]	[5]
Calendar Year Ending 12/31	Pre-Tax SERP Earnings Impact	Benefit Tax Deduction	Net SERP Earnings Impact	Hypothetical COLI Earnings Impact	Combined Earnings ~ Impact
Totals ^	(90,426,807)	18,989,629	(71,437,177)	27,087,338	(44,349,840)
2025	(226,000)	47,460	(178,540)	(43,127)	(221,667)
2026	(920,005)	193,201	(726,804)	(137,884)	(864,687)
2027	(985,308)	206,915	(778,393)	(12,135)	(790,528)
2028	(1,055,866)	221,732	(834,134)	55,854	(778,280)
2029	(1,132,067)	237,734	(894,333)	67,834	(826,499)
2030	(1,147,243)	240,921	(906,322)	73,793	(832,529)
2031	(1,024,258)	215,094	(809,164)	73,540	(735,624)
2032	(1,069,319)	224,557	(844,762)	167,452	(677,310)
2033	(1,096,974)	230,364	(866,609)	264,546	(602,063)
2034	(1,137,941)	238,968	(898,973)	420,642	(478,332)
2035	(1,191,210)	250,154	(941,056)	547,940	(393,116)
2036	(1,220,599)	256,326	(964,273)	793,941	(170,333)
2037	(1,193,370)	250,608	(942,762)	811,584	(131,178)
2038	(1,240,340)	260,471	(979,869)	827,964	(151,905)
2039	(1,281,342)	269,082	(1,012,260)	843,650	(168,610)
2040	(1,272,019)	267,124	(1,004,895)	856,869	(148,026)
2041	(1,158,165)	243,215	(914,950)	867,581	(47,369)
2042	(1,007,851)	211,649	(796,202)	865,863	69,661
2043	(1,038,396)	218,063	(820,333)	1,132,698	312,366
2044	(1,071,544)	225,024	(846,520)	1,658,173	811,654
2045	(1,101,664)	231,349	(870,314)	854,616	(15,698)
2046	(1,090,693)	229,046	(861,648)	901,447	39,799
2047	(1,016,602)	213,487	(803,116)	969,220	166,104
2048	(994,761)	208,900	(785,861)	839,665	53,804
2049	(1,000,916)	210,192	(790,724)	823,892	33,169
2050	(1,007,976)	211,675	(796,301)	865,463	69,162
2051	(995,971)	209,154	(786,817)	962,742	175,925
2052	(922,731)	193,774	(728,958)	837,332	108,374
2053	(859,000)	180,390	(678,610)	993,269	314,659
2054	(841,334)	176,680	(664,654)	805,407	140,753

~ Represents the net differences between the total premiums paid (\$14,056,377), net benefits paid from Company cash flow (\$1,086,636), and COLI mortality gains in excess of these expenses -(\$29,206,827).

^ Represents Total over the life of the program, not limited to the 30 years displayed

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Annual Impact on Earnings - Summary

Option 3 - SERP Benefit Funding Wherewithal Based on COLI Assets

	[1]	[2]	[3]	[4]	[5]
Calendar Year Ending <u>12/31</u>	Pre-Tax SERP Earnings <u>Impact</u>	Benefit Tax <u>Deduction</u>	Net SERP Earnings <u>Impact</u>	Hypothetical COLI Earnings <u>Impact</u>	Combined Earnings <u>~ Impact</u>
Totals ^	(90,426,807)	18,989,629	(71,437,177)	62,980,967	(8,456,210)
2025	(226,000)	47,460	(178,540)	(43,127)	(221,667)
2026	(920,005)	193,201	(726,804)	(137,884)	(864,687)
2027	(985,308)	206,915	(778,393)	(12,135)	(790,528)
2028	(1,055,866)	221,732	(834,134)	55,854	(778,280)
2029	(1,132,067)	237,734	(894,333)	67,834	(826,499)
2030	(1,147,243)	240,921	(906,322)	77,559	(828,763)
2031	(1,024,258)	215,094	(809,164)	92,644	(716,520)
2032	(1,069,319)	224,557	(844,762)	204,848	(639,913)
2033	(1,096,974)	230,364	(866,609)	327,077	(539,532)
2034	(1,137,941)	238,968	(898,973)	510,064	(388,909)
2035	(1,191,210)	250,154	(941,056)	665,943	(275,114)
2036	(1,220,599)	256,326	(964,273)	944,817	(19,456)
2037	(1,193,370)	250,608	(942,762)	1,006,220	63,458 *
2038	(1,240,340)	260,471	(979,869)	1,070,038	90,169
2039	(1,281,342)	269,082	(1,012,260)	1,139,703	127,443
2040	(1,272,019)	267,124	(1,004,895)	1,221,225	216,330
2041	(1,158,165)	243,215	(914,950)	1,318,664	403,714
2042	(1,007,851)	211,649	(796,202)	1,414,503	618,300
2043	(1,038,396)	218,063	(820,333)	1,583,308	762,975
2044	(1,071,544)	225,024	(846,520)	1,730,286	883,766
2045	(1,101,664)	231,349	(870,314)	1,406,821	536,507
2046	(1,090,693)	229,046	(861,648)	1,514,195	652,547
2047	(1,016,602)	213,487	(803,116)	1,625,791	822,675
2048	(994,761)	208,900	(785,861)	1,649,929	864,068
2049	(1,000,916)	210,192	(790,724)	1,761,857	971,133
2050	(1,007,976)	211,675	(796,301)	1,908,386	1,112,085
2051	(995,971)	209,154	(786,817)	2,054,194	1,267,377
2052	(922,731)	193,774	(728,958)	2,038,300	1,309,343
2053	(859,000)	180,390	(678,610)	2,233,247	1,554,636
2054	(841,334)	176,680	(664,654)	1,988,290	1,323,636

* This table illustrates annual earnings impact of the SERP-PLUS Program. COLI is illustrated to generate credits to earnings in the first year; the combined net impact on earnings turns positive by 2037.

^ Represents Total over the life of the program, not limited to the 30 years displayed



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Annual Impact on Earnings - Summary

Option 4 - SERP Benefit Funding from COLI Assets & Cost Recovery

	[1]	[2]	[3]	[4]	[5]
Calendar Year Ending <u>12/31</u>	Pre-Tax SERP Earnings <u>Impact</u>	Benefit Tax <u>Deduction</u>	Net SERP Earnings <u>Impact</u>	Hypothetical COLI Earnings <u>Impact</u>	Combined Earnings <u>~ Impact</u>
Totals ^	(90,426,807)	18,989,629	(71,437,177)	27,610,883	(43,826,294)
2025	(226,000)	47,460	(178,540)	(44,369)	(222,910)
2026	(920,005)	193,201	(726,804)	(141,855)	(868,659)
2027	(985,308)	206,915	(778,393)	(12,485)	(790,878)
2028	(1,055,866)	221,732	(834,134)	57,463	(776,671)
2029	(1,132,067)	237,734	(894,333)	69,788	(824,545)
2030	(1,147,243)	240,921	(906,322)	75,919	(830,403)
2031	(1,024,258)	215,094	(809,164)	75,659	(733,505)
2032	(1,069,319)	224,557	(844,762)	172,276	(672,486)
2033	(1,096,974)	230,364	(866,609)	272,166	(594,443)
2034	(1,137,941)	238,968	(898,973)	432,759	(466,215)
2035	(1,191,210)	250,154	(941,056)	563,724	(377,332)
2036	(1,220,599)	256,326	(964,273)	816,811	(147,462)
2037	(1,193,370)	250,608	(942,762)	834,963	(107,799)
2038	(1,240,340)	260,471	(979,869)	851,815	(128,054)
2039	(1,281,342)	269,082	(1,012,260)	867,953	(144,307)
2040	(1,272,019)	267,124	(1,004,895)	881,553	(123,343)
2041	(1,158,165)	243,215	(914,950)	892,573	(22,377)
2042	(1,007,851)	211,649	(796,202)	890,806	94,604
2043	(1,038,396)	218,063	(820,333)	1,165,328	344,995
2044	(1,071,544)	225,024	(846,520)	1,705,940	859,420
2045	(1,101,664)	231,349	(870,314)	879,234	8,920
2046	(1,090,693)	229,046	(861,648)	927,414	65,767
2047	(1,016,602)	213,487	(803,116)	997,140	194,024
2048	(994,761)	208,900	(785,861)	863,853	77,992
2049	(1,000,916)	210,192	(790,724)	847,626	56,902
2050	(1,007,976)	211,675	(796,301)	890,394	94,093
2051	(995,971)	209,154	(786,817)	990,476	203,659
2052	(922,731)	193,774	(728,958)	861,452	132,495
2053	(859,000)	180,390	(678,610)	1,021,882	343,272
2054	(841,334)	176,680	(664,654)	828,608	163,954

* This table illustrates annual earnings impact of the SERP-PLUS Program. COLI is illustrated to generate credits to earnings in the first year; the combined net impact on earnings turns positive by 2042.

^ Represents Total over the life of the program, not limited to the 30 years displayed



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SERP Accounting Entry Worksheet - Calendar Year - Consolidated

	First Month Oct 27, 2025 - Oct 31, 2025		Calendar Year 2025 Oct 27, 2025 - Dec 31, 2025		Calendar Year 2026 Jan 1, 2026 - Dec 31, 2026	
	<u>Debit</u>	<u>Credit</u>	<u>Debit</u>	<u>Credit</u>	<u>Debit</u>	<u>Credit</u>
Initial Entries						
Accumulated other comprehensive income (AOCI)	3,806,707		3,806,707		N / A	
Liability for pension benefits		3,806,707		3,806,707		N / A
To record prior service cost of retirement obligations - before tax benefit						
Deferred Tax Asset	799,408		799,408		N / A	
Deferred tax benefit - AOCI		799,408		799,408		N / A
To record tax benefit on initial prior service cost (Note 1)						
Annual Entries						
Pension Expense	55,507		166,521		682,086	
Liability for Pension Benefits		55,507		166,521		682,086
To record current period's service and interest cost (Note 2)						
Deferred Tax Asset	11,656		34,969		143,238	
Deferred Income Tax Expense		11,656		34,969		143,238
To record deferred tax benefit on current year's pension expense (Note 1)						
Pension Expense	19,827		59,480		237,919	
Accumulated other comprehensive income (AOCI)		19,827		59,480		237,919
To record current year's amortization of prior service cost						
Deferred Tax Benefit - AOCI	4,164		12,491		49,963	
Deferred Income Tax Expense		4,164		12,491		49,963
To record tax benefit of current year's amortization of prior service cost (Note 1)						



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SERP Accounting Entry Worksheet - Calendar Year - Consolidated

	First Month Oct 27, 2025 - Oct 31, 2025	Calendar Year 2025 Oct 27, 2025 - Dec 31, 2025	Calendar Year 2026 Jan 1, 2026 - Dec 31, 2026
	<u>Debit / (Credit)</u>	<u>Debit / (Credit)</u>	<u>Debit / (Credit)</u>
<u>Reconciliation of Retirement Plan Accounts</u>			
Liability for Pension Benefits - beginning of year	0	0	(3,973,227)
To record prior service cost	(3,806,707)	(3,806,707)	N / A
Add: Current period's accrual	<u>(55,507)</u>	<u>(166,521)</u>	<u>(682,086)</u>
Liability for Pension Benefits - end of year	(3,862,213)	(3,973,227)	(4,655,313)
Accumulated other comprehensive income - beginning of year	0	0	2,960,309
To record prior service cost (before tax benefit)	3,806,707	3,806,707	N / A
To record tax benefit on prior service cost	(799,408)	(799,408)	N / A
Less: Current year's amortization of AOCI	(19,827)	(59,480)	(237,919)
Less: Current year's amortization of tax benefit on AOCI	<u>4,164</u>	<u>12,491</u>	<u>49,963</u>
Accumulated other comprehensive income - end of year	2,991,635	2,960,309	2,772,353



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SERP Accounting Entry Worksheet - Calendar Year - Consolidated

	First Month Oct 27, 2025 - Oct 31, 2025	Calendar Year 2025 Oct 27, 2025 - Dec 31, 2025	Calendar Year 2026 Jan 1, 2026 - Dec 31, 2026
<u>Notes to Balance Sheet</u>			
Projected Benefit Obligation	(3,862,213)	(3,973,227)	(4,655,313)
Plan Assets at Fair Market Value	0	0	0
Funded Status	(3,862,213)	(3,973,227)	(4,655,313)
Unrecognized Transition Obligation	0	0	0
Unrecognized Prior Service Cost	3,786,880	3,747,227	3,509,308
Unrecognized Gain / (Loss)	0	0	0
Prepaid / (Unfunded Accrued) Pension Cost	(75,333)	(226,000)	(1,146,005)
<u>Notes to Income Statement</u>			
Service Cost	37,266	111,799	453,625
Interest Cost	18,240	54,721	228,461
Expected Return on Assets	0	0	0
Amortization of Transition Obligation	0	0	0
Amortization of Prior Service Cost	19,827	59,480	237,919
Amortization of Gain / (Loss)	0	0	0
Pension Expense	<u>75,333</u>	<u>226,000</u>	<u>920,005</u>

Additional Notes and Assumptions:

Deferred tax entries generally record the effect of all timing differences. These sample entries indicate only the deferred taxes that relate to the nonqualified pension liabilities reflected herein.

1. Example based on an effective tax rate of 21.0%. In recording accounts, the Company should use its own projected effective federal, state, and local tax rate.
2. For Calendar Year 2025, the service cost is \$111,799 and the interest cost is \$54,721
3. This schedule assumes Plan Start Date of October 27, 2025; first Calendar Year ends on December 31, 2025
4. This is technically an unfunded Plan and COLI is not formally considered a Plan Asset; see Appendix D for an explanation of "unfunded"
5. This schedule assumes an Accrual Interest Discount Rate of 5.75 %

The entries on these worksheets are for illustrative purposes only, and should not be considered tax, accounting, or legal advice.

Please consult with your professional advisors for all such advice.

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COLI Accounting Entry Worksheet - Calendar Year - Consolidated

	First Month Oct 27, 2025 - Oct 31, 2025		Calendar Year 2025 Oct 27, 2025 - Dec 31, 2025		Calendar Year 2026 Jan 1, 2026 - Dec 31, 2026	
	Debit	Credit	Debit	Credit	Debit	Credit
Option 1 - Benefit Cost Recovery upon Mortality						
To record annual life insurance policy changes						
Life Insurance - Cash Surrender Value (Change)	784,948		773,237		735,677	
Life Insurance - Revenue (non-taxable)		(5,855)		(17,566)		(55,126)
Cash (premium)		790,803		790,803		790,803
To record receipt of life insurance death benefits						
Cash	0		0		0	
Life Insurance - Cash Surrender Value		0		0		0
Life Insurance - Gain on Receipt of Death Benefit (non-taxable)		0		0		0
Option 2 - Benefit Funding from COLI Values						
To record annual life insurance policy changes						
Life Insurance - Cash Surrender Value (Change)	1,827,567		1,798,816		1,704,059	
Life Insurance - Revenue (non-taxable)		(14,376)		(43,127)		(137,884)
Cash (premium)		1,841,943		1,841,943		1,841,943
To record receipt of life insurance death benefits						
Cash	0		0		0	
Life Insurance - Cash Surrender Value		0		0		0
Life Insurance - Gain on Receipt of Death Benefit (non-taxable)		0		0		0

Additional Notes and Assumptions:

This worksheet provides suggested accounting entries but should not be considered tax or accounting advice

Assumes Plan Start Date of October 27, 2025; first Calendar Year ends on December 31, 2025

Life Insurance (COLI) Accounting Treatment

Insurance is accounted for independently of the SERP, in accordance with the "Cash Surrender Value" method of accounting (FASB ASC 325-30). Under this Standard, each year the net difference between that year's premium payment, cash surrender value change, and net death proceeds received is charged or credited to the employer's earnings. The cash surrender value recorded for the life insurance contract is adjusted accordingly. Premium payments are not deductible, while both cash surrender value changes and death proceeds received generally are nontaxable.

FASB ASC 740-10 generally does not require tax to be provided on the annual increase in cash surrender value since the insurance coverage is projected to be maintained by the employer until the death of each insured, even if the insured were to leave the employ of the employer. Since the financial structure of SERP•PLUS anticipates no policy surrenders prior to any insured's death, no deferred tax liability on insurance gains should be recorded.



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Consolidated FASB ASC 715-30 Audit Trail - Calendar Year

	[1]	[2]	[3]	[4]	[5]	[6]	[7]	[8]	[9]
Cal Year End 12/31	Service Cost	Prior Service Cost Level Amort	Interest Accrual	Total Pension Cost	Gross Benefit Payment	Annual Unfunded Accrued Pension Cost	EOY Unfunded Accrued Pension Cost	BOY Unrecog Prior Service Cost	EOY Unrecog Prior Service Cost
2025	111,799	59,480	54,721	226,000	0	226,000	226,000	3,806,707	3,747,227
2026	453,625	237,919	228,461	920,005	0	920,005	1,146,005	3,747,227	3,509,308
2027	479,708	237,919	267,680	985,308	0	985,308	2,131,313	3,509,308	3,271,388
2028	507,292	237,919	310,655	1,055,866	0	1,055,866	3,187,179	3,271,388	3,033,469
2029	536,461	237,919	357,687	1,132,067	0	1,132,067	4,319,246	3,033,469	2,795,550
2030	503,173	237,919	406,151	1,147,243	51,300	1,095,943	5,415,189	2,795,550	2,557,631
2031	339,701	237,919	446,638	1,024,258	205,201	819,057	6,234,246	2,557,631	2,319,712
2032	352,653	237,919	478,747	1,069,319	227,929	841,389	7,075,635	2,319,712	2,081,793
2033	350,080	237,919	508,974	1,096,974	305,707	791,267	7,866,902	2,081,793	1,843,873
2034	360,885	237,919	539,137	1,137,941	334,487	803,455	8,670,356	1,843,873	1,605,954
2035	381,636	237,919	571,655	1,191,210	334,487	856,724	9,527,080	1,605,954	1,368,035
2036	377,226	237,919	605,454	1,220,599	365,473	855,126	10,382,206	1,368,035	1,130,116
2037	319,852	237,919	635,599	1,193,370	458,434	734,936	11,117,142	1,130,116	892,197
2038	338,244	237,919	664,177	1,240,340	458,434	781,906	11,899,048	892,197	654,278
2039	349,251	237,919	694,172	1,281,342	480,768	800,575	12,699,623	654,278	416,359
2040	314,090	237,919	720,010	1,272,019	594,071	677,948	13,377,571	416,359	178,439
2041	242,401	178,439	737,324	1,158,165	732,982	425,183	13,802,754	178,439	(0)
2042	256,339	0	751,512	1,007,851	732,982	274,869	14,077,623	(0)	(0)
2043	271,079	0	767,317	1,038,396	732,982	305,414	14,383,037	(0)	(0)
2044	286,666	0	784,878	1,071,544	732,982	338,562	14,721,599	(0)	(0)
2045	296,551	0	805,113	1,101,664	719,640	382,023	15,103,623	(0)	(0)
2046	265,270	0	825,423	1,090,693	748,444	342,249	15,445,872	(0)	(0)
2047	185,147	0	831,456	1,016,602	985,773	30,829	15,476,701	(0)	(0)
2048	166,507	0	828,254	994,761	1,072,289	(77,528)	15,399,173	(0)	(0)
2049	176,081	0	824,835	1,000,916	1,054,217	(53,301)	15,345,872	(0)	(0)
2050	186,206	0	821,770	1,007,976	1,054,217	(46,241)	15,299,631	(0)	(0)
2051	178,790	0	817,181	995,971	1,087,786	(91,815)	15,207,816	(0)	(0)
2052	118,248	0	804,483	922,731	1,216,800	(294,069)	14,913,747	(0)	(0)
2053	75,686	0	783,314	859,000	1,290,887	(431,887)	14,481,860	(0)	(0)
2054	80,038	0	761,296	841,334	1,241,925	(400,591)	14,081,270	(0)	(0)
2055	73,295	0	739,666	812,962	1,217,509	(404,548)	13,676,722	(0)	(0)
2056	43,476	0	712,094	755,570	1,292,480	(536,910)	13,139,812	(0)	(0)
2057	33,993	0	680,096	714,089	1,312,055	(597,965)	12,541,847	(0)	(0)
2058	0	0	643,269	643,269	1,354,559	(711,289)	11,830,558	(0)	(0)
2059	0	0	605,168	605,168	1,305,899	(700,731)	11,129,827	(0)	(0)
2060	0	0	565,488	565,488	1,295,256	(729,768)	10,400,059	(0)	(0)
2061	0	0	527,303	527,303	1,229,570	(702,267)	9,697,793	(0)	(0)
2062	0	0	494,139	494,139	1,104,063	(609,924)	9,087,869	(0)	(0)
2063	0	0	463,250	463,250	1,031,351	(568,101)	8,519,767	(0)	(0)
2064	0	0	430,584	430,584	1,031,351	(600,767)	7,919,000	(0)	(0)



Charles P Johnson & Associates

Calendar Year 2025 Pension Expense Allocation by Participant

	[1]	[2]	[3]	[4]	[5]
		Prior Service Cost		Total	Total
<u>Participant</u>	<u>Service</u>	<u>Level</u>	<u>Interest</u>	<u>Pension</u>	<u>Expense</u>
	<u>Cost</u>	<u>Amortization</u>	<u>Accrual</u>	<u>Expense</u>	<u>Percentage</u>
					<u>of Total</u>
Totals	111,799	59,480	54,721	226,000	100.0%
Johnson					
Johnson II					
Thren	4,449	10,519	9,677	24,645	10.9%
Burke JR.	2,157	3,059	2,815	8,031	3.6%
Barnhart	2,853	3,541	3,258	9,653	4.3%
Ingram	2,385	2,679	2,464	7,528	3.3%
Hijazi	30,959	10,978	10,100	52,037	23.0%
Hargis	2,120	752	692	3,564	1.6%
Hughes	14,249	4,211	3,874	22,333	9.9%
Sommer	4,592	1,086	999	6,676	3.0%
Peiffer	4,236	751	691	5,678	2.5%
Stemann	7,276	1,290	1,187	9,752	4.3%
Bergmann	3,637	215	198	4,049	1.8%
Thomas	5,658	3,344	3,076	12,077	5.3%
Fetchu	3,859	5,018	4,617	13,494	6.0%
Ahmed	13,635	2,418	2,224	18,277	8.1%
Jewell	3,275	774	712	4,762	2.1%
Kirby	625	1,626	1,496	3,747	1.7%
Richardson	1,987	3,993	3,674	9,655	4.3%
Pugh	1,844	2,398	2,206	6,449	2.9%
Hall	2,003	828	762	3,593	1.6%

Charles P Johnson & Associates

Summary of Benefits for Paul Johnson

Statement Date: October 27, 2025

Date of Birth: September 19, 1951

Current Age (to your nearest birthday): 74

Normal Retirement Age: 79

Current Recognized Salary: \$162,240

Normal Retirement Benefit

The benefits payable to you upon your retirement are based on the following:

- ☐ Your retirement benefit is a defined benefit of 0.00% times your projected highest consecutive five-year average salary

Your assumed annual SERP benefit payable is:	\$ 0
(Your assumed projected highest consecutive five-year average salary is: \$ 172,271)	

Your total guaranteed SERP benefits, paid (for 10 years) is:	\$ 0
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Your projected total SERP benefits, paid to your life expectancy (age 84) is:	\$ 0
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Pre-Retirement Survivor Benefit

You are eligible for payment of survivor benefits if your death occurs while you are employed by the Company. Survivor benefits are generally defined to be a percentage of your Recognized Salary at the time of your death. The benefits payable to your designated beneficiary upon your death are based on the following schedule:

- ☐ 100.0% of your Recognized Salary paid for one year following your death, plus
- ☐ 50.0% of your Recognized Salary paid for two years following your death

Total survivor benefits payable if death were to occur this year:	\$ 324,480
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Total survivor benefits payable if death were to occur in the year prior to your Projected Retirement Age (age 78):	\$ 365,205
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NOTE: The benefits illustrated assume an average salary growth of 3.0 %, compounded annually.

NOTE: The benefits illustrated are projections based on a series of future salary assumptions, which may not occur. Your actual benefits will be determined by your actual compensation, and the provisions of the Plan Document.



Charles P Johnson & Associates

Analysis of COLI Face Amount (Cost Recovery Option 1) to Pre-Retirement Survivor Benefit Liability

Participant	Age	NRA	Total Survivor Benefit Payable		After-tax Total Survivor Benefit Payable		COLI Face Amount Cost Recovery Option		Ratio of COLI Face Amount to After-tax Survivor Benefit	
			Current Year	NRA - 1	Current Year	NRA - 1	Current Year	NRA - 1	Current Year	NRA - 1
Totals			6,900,192		5,451,152		15,290,524		281 %	
P. Johnson	74	79	324,480	365,205	256,339	288,512	0	0	0 %	0 %
C. Johnson II	73	78	282,880	318,384	223,475	251,523	0	0	0 %	0 %
J. Thren	58	65	403,520	481,824	318,781	380,641	804,764	804,764	252 %	211 %
D. Burke JR.	45	65	257,920	452,264	203,757	357,289	804,764	804,764	395 %	225 %
R. Barnhart	43	65	351,520	653,931	277,701	516,605	804,764	804,764	290 %	156 %
R. Ingram	44	65	266,240	480,859	210,330	379,879	804,764	804,764	383 %	212 %
H. Hijazi	67	72	653,120	735,092	515,965	580,723	804,764	804,764	156 %	139 %
B. Hargis	35	65	269,984	636,235	213,287	502,626	804,764	903,091	377 %	180 %
P. Hughes	54	65	488,800	656,906	386,152	518,956	804,764	804,764	208 %	155 %
A. Sommer	44	65	320,320	578,534	253,053	457,042	804,764	804,764	318 %	176 %
S. Peiffer	39	65	391,040	818,751	308,922	646,813	804,764	804,764	261 %	124 %
T. Stemmann	50	65	312,000	471,928	246,480	372,823	804,764	804,764	327 %	216 %
A. Bergmann	38	65	332,800	717,714	262,912	566,994	804,764	819,498	306 %	145 %
B. Thomas	50	65	336,960	509,682	266,198	402,649	804,764	804,764	302 %	200 %
J. Fetchu	51	65	322,400	473,455	254,696	374,030	804,764	804,764	316 %	215 %
S. Ahmed	60	65	399,360	449,483	315,494	355,092	804,764	804,764	255 %	227 %
S. Jewell	64	69	222,560	250,493	175,822	197,890	804,764	804,764	458 %	407 %
T. Kirby	64	69	231,296	260,326	182,724	205,657	804,764	804,764	440 %	391 %
W. Richardson	57	65	220,480	271,163	174,179	214,218	804,764	804,764	462 %	376 %
W. Pugh	44	65	221,312	399,714	174,836	315,774	804,764	804,764	460 %	255 %
T. Hall	33	65	291,200	728,023	230,048	575,138	804,764	944,285	350 %	164 %

This model analyzes the policy cost recovery status over the lives of the insured participants. COLI can also be designed to provide cost recovery in the event of immediate liabilities created by the premature death of one or more SERP participants in any year. The greatest liability exposure tends to be during the early program years. The above analysis demonstrates the impact of a death in the current year, as well as a death in the year immediately prior to normal retirement age (NRA-1), and compares the net after-tax value of pre-retirement survivor benefits to the life insurance face amount. The COLI face amount represents the projected cash paid by the insurance carrier upon death; financial statement impact may be different since a portion of the death benefits received (generally the cash surrender value) will previously have been recognized as earnings.

To the extent that the employer is concerned about potential early deaths, until there is adequate funding wherewithal (cash surrender value) in the aggregate COLI policies, the employer has several options, including phasing-in pre-retirement survivor benefits, typically over a three to five year period.



Charles P Johnson & Associates

Analysis of COLI Face Amount (Policy Funding Option 2) to Pre-Retirement Survivor Benefit Liability

Participant	Age	NRA	Total Survivor Benefit Payable		After-tax Total Survivor Benefit Payable		COLI Face Amount Policy Funding Option		Ratio of COLI Face Amount to After-tax Survivor Benefit	
			Current Year	NRA - 1	Current Year	NRA - 1	Current Year	NRA - 1	Current Year	NRA - 1
Totals			6,900,192		5,451,152		35,826,011		657 %	
P. Johnson	74	79	324,480	365,205	256,339	288,512	0	0	0 %	0 %
C. Johnson II	73	78	282,880	318,384	223,475	251,523	0	0	0 %	0 %
J. Thren	58	65	403,520	481,824	318,781	380,641	1,885,580	1,885,580	591 %	495 %
D. Burke JR.	45	65	257,920	452,264	203,757	357,289	1,885,580	1,885,580	925 %	528 %
R. Barnhart	43	65	351,520	653,931	277,701	516,605	1,885,580	1,885,580	679 %	365 %
R. Ingram	44	65	266,240	480,859	210,330	379,879	1,885,580	1,885,580	896 %	496 %
H. Hijazi	67	72	653,120	735,092	515,965	580,723	1,885,580	1,885,580	365 %	325 %
B. Hargis	35	65	269,984	636,235	213,287	502,626	1,885,580	1,885,580	884 %	375 %
P. Hughes	54	65	488,800	656,906	386,152	518,956	1,885,580	1,885,580	488 %	363 %
A. Sommer	44	65	320,320	578,534	253,053	457,042	1,885,580	1,885,580	745 %	413 %
S. Peiffer	39	65	391,040	818,751	308,922	646,813	1,885,580	1,885,580	610 %	292 %
T. Stemmann	50	65	312,000	471,928	246,480	372,823	1,885,580	1,885,580	765 %	506 %
A. Bergmann	38	65	332,800	717,714	262,912	566,994	1,885,580	1,885,580	717 %	333 %
B. Thomas	50	65	336,960	509,682	266,198	402,649	1,885,580	1,885,580	708 %	468 %
J. Fetchu	51	65	322,400	473,455	254,696	374,030	1,885,580	1,885,580	740 %	504 %
S. Ahmed	60	65	399,360	449,483	315,494	355,092	1,885,580	1,885,580	598 %	531 %
S. Jewell	64	69	222,560	250,493	175,822	197,890	1,885,580	1,885,580	1072 %	953 %
T. Kirby	64	69	231,296	260,326	182,724	205,657	1,885,580	1,885,580	1032 %	917 %
W. Richardson	57	65	220,480	271,163	174,179	214,218	1,885,580	1,885,580	1083 %	880 %
W. Pugh	44	65	221,312	399,714	174,836	315,774	1,885,580	1,885,580	1078 %	597 %
T. Hall	33	65	291,200	728,023	230,048	575,138	1,885,580	1,885,580	820 %	328 %

This model analyzes the policy funded status over the lives of the insured participants. COLI can also be designed to provide cost recovery in the event of immediate liabilities created by the premature death of one or more SERP participants in any year. The greatest liability exposure tends to be during the early program years. The above analysis demonstrates the impact of a death in the current year, as well as death in the year immediately prior to normal retirement age (NRA-1), and compares the net after-tax value of pre-retirement survivor benefits, to the insurance face amount. The COLI face amount represents the projected cash paid by the insurance carrier upon death; financial statement impact may be different since a portion of the death benefits received (generally the cash surrender value) will previously have been recognized as earnings.

To the extent that the employer is concerned about potential early deaths, until there is adequate funding wherewithal (cash surrender value) in the aggregate COLI policies, the employer has several options including phasing-in pre-retirement survivor benefits, typically over a three to five year period.



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Option 1 - Recovery of Net Program Costs from COLI upon Mortality

	[1]	[2]	[3]	[4]	[5]	[6]	[7]	[8]	[9]	[10]
				Net	Net					
	Gross	Benefit	Net	Benefits	Benefits		COLI	COLI	COLI	COLI
Plan	Benefits	Tax	Benefits	Paid from	Paid from		Death	Loans and	Cash	Face
Year	Payable	Deduction	Paid	Company	COLI	COLI	Proceeds	Withdrawals	Surrender	Amount
				Cash Flow	Assets	Premiums	Received		Value	
Totals	(35,286,655)	7,410,197	(27,876,457)	(27,876,457)	0	(5,938,592)	33,815,049	0		
1	0	0	0	0	0	(790,803)	0	0	720,541	15,290,524
2	0	0	0	0	0	(790,803)	0	0	1,501,629	15,290,524
3	0	0	0	0	0	(790,803)	0	0	2,310,356	15,290,524
4	0	0	0	0	0	(790,803)	0	0	3,128,473	15,290,524
5	0	0	0	0	0	(790,803)	0	0	3,952,462	15,290,524
6	(205,201)	43,092	(162,109)	(162,109)	0	(452,461)	0	0	4,451,131	15,290,524
7	(205,201)	43,092	(162,109)	(162,109)	0	(452,461)	0	0	4,987,120	15,290,524
8	(296,114)	62,184	(233,930)	(233,930)	0	(393,333)	0	0	5,507,764	15,290,524
9	(334,487)	70,242	(264,244)	(264,244)	0	(343,160)	0	0	6,065,656	15,290,524
10	(334,487)	70,242	(264,244)	(264,244)	0	(343,160)	0	0	6,660,190	15,290,524
11	(334,487)	70,242	(264,244)	(264,244)	0	0	0	0	7,058,859	15,290,524
12	(458,434)	96,271	(362,163)	(362,163)	0	0	0	0	7,482,931	15,290,524
13	(458,434)	96,271	(362,163)	(362,163)	0	0	0	0	7,933,797	15,290,524
14	(458,434)	96,271	(362,163)	(362,163)	0	0	0	0	8,413,690	15,290,524
15	(547,768)	115,031	(432,736)	(432,736)	0	0	0	0	8,925,850	15,290,524
16	(732,982)	153,926	(579,056)	(579,056)	0	0	0	0	9,480,754	15,290,524
17	(732,982)	153,926	(579,056)	(579,056)	0	0	0	0	10,074,791	15,304,461
18	(732,982)	153,926	(579,056)	(579,056)	0	0	858,888	0	9,895,913	15,500,489
19	(732,982)	153,926	(579,056)	(579,056)	0	0	0	0	10,526,264	14,878,929
20	(732,982)	153,926	(579,056)	(579,056)	0	0	0	0	11,198,709	15,166,737
21	(818,317)	171,847	(646,470)	(646,470)	0	0	2,081,724	0	9,932,958	15,472,654



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Option 1 - Recovery of Net Program Costs from COLI upon Mortality

	[1]	[2]	[3]	[4]	[5]	[6]	[7]	[8]	[9]	[10]
				Net	Net					
	Gross	Benefit	Net	Benefits	Benefits		COLI	COLI	COLI	COLI
Plan	Benefits	Tax	Benefits	Paid from	Paid from		Death	Loans and	Cash	Face
Year	Payable	Deduction	Paid	Company	COLI	COLI	Proceeds	Withdrawals	Surrender	Amount
				Cash Flow	Assets	Premiums	Received		Value	
22	(1,093,627)	229,662	(863,965)	(863,965)	0	0	0	0	10,570,021	13,618,143
23	(1,217,013)	255,573	(961,440)	(961,440)	0	0	0	0	11,250,373	13,963,942
24	(1,217,013)	255,573	(961,440)	(961,440)	0	0	0	0	11,977,249	14,353,421
25	(1,217,013)	255,573	(961,440)	(961,440)	0	0	1,280,499	0	11,532,900	14,813,973
26	(1,011,812)	212,480	(799,331)	(799,331)	0	0	0	0	12,281,722	14,044,517
27	(1,166,297)	244,922	(921,375)	(921,375)	0	0	1,456,712	0	11,692,216	14,732,188
28	(1,210,806)	254,269	(956,536)	(956,536)	0	0	1,449,530	0	11,073,026	13,965,896
29	(1,172,433)	246,211	(926,222)	(926,222)	0	0	0	0	11,794,969	13,178,605
30	(1,172,433)	246,211	(926,222)	(926,222)	0	0	0	0	12,563,789	13,900,041
35	(1,216,565)	255,479	(961,086)	(961,086)	0	0	3,349,362	0	12,936,698	17,167,875
40	(1,031,351)	216,584	(814,767)	(814,767)	0	0	1,913,513	0	22,482,428	25,158,412
45	(547,320)	114,937	(432,383)	(432,383)	0	0	0	0	33,960,239	34,354,832

Column 4 All net after-tax cost of benefits paid from Company assets during the the life of the program.

Column 5 No benefits are illustrated to be paid from COLI assets; however, the assets are available to the Company to pay benefits, as needed; assets used to pay benefits will reduce future death proceeds and consequently, will reduce the COLI available for cost recovery.

Totals Represents Totals over the life of the program, not limited to the years displayed.



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Option 2 - SERP Benefit Funding from COLI Assets

	[1]	[2]	[3]	[4]	[5]	[6]	[7]	[8]	[9]	[10]
				Net	Net					
				Benefits	Benefits		COLI	COLI	COLI	COLI
				Paid from	Paid from		Death	Loans and	Cash	Face
Plan	Gross	Benefit	Net	Company	COLI	COLI	Proceeds	Withdrawals	Surrender	Amount
Year	Benefits	Tax	Benefits	Cash Flow	Assets	Premiums	Received		Value	
	Payable	Deduction	Paid							
Totals	(35,286,655)	7,410,197	(27,876,457)	(1,086,636)	(26,789,821)	(14,056,377)	6,785,644	34,358,071		
1	0	0	0	0	0	(1,841,943)	0	0	1,669,434	35,826,011
2	0	0	0	0	0	(1,841,943)	0	0	3,477,369	35,826,011
3	0	0	0	0	0	(1,841,943)	0	0	5,372,797	35,826,011
4	0	0	0	0	0	(1,841,943)	0	0	7,277,702	35,826,011
5	0	0	0	0	0	(1,841,943)	0	0	9,202,095	35,826,011
6	(205,201)	43,092	(162,109)	(162,109)	0	(1,106,450)	0	205,201	10,151,165	35,612,809
7	(205,201)	43,092	(162,109)	(162,109)	0	(1,106,450)	0	205,201	11,203,111	35,391,290
8	(296,114)	62,184	(233,930)	(233,930)	0	(922,207)	0	296,114	12,046,920	35,078,220
9	(334,487)	70,242	(264,244)	(264,244)	0	(855,778)	0	334,487	12,973,250	34,726,120
10	(334,487)	70,242	(264,244)	(264,244)	0	(855,778)	0	334,487	13,961,989	34,373,330
11	(334,487)	70,242	(264,244)	0	(264,244)	0	0	334,487	14,416,917	34,024,216
12	(458,434)	96,271	(362,163)	0	(362,163)	0	0	458,434	14,766,003	33,550,714
13	(458,434)	96,271	(362,163)	0	(362,163)	0	0	458,434	15,131,346	33,076,765
14	(458,434)	96,271	(362,163)	0	(362,163)	0	0	458,434	15,513,435	32,602,340
15	(547,768)	115,031	(432,736)	0	(432,736)	0	0	547,768	15,818,700	32,038,108
16	(732,982)	153,926	(579,056)	0	(579,056)	0	0	732,982	15,954,096	31,288,169
17	(732,982)	153,926	(579,056)	0	(579,056)	0	0	732,982	16,086,307	30,537,725
18	(732,982)	153,926	(579,056)	0	(579,056)	0	0	732,982	16,221,201	29,786,752
19	(732,982)	153,926	(579,056)	0	(579,056)	0	2,505,001	732,982	14,910,386	26,530,245
20	(732,982)	153,926	(579,056)	0	(579,056)	0	0	594,282	15,167,295	25,929,777
21	(818,317)	171,847	(646,470)	0	(646,470)	0	0	594,282	15,437,906	25,328,784



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Option 2 - SERP Benefit Funding from COLI Assets

	[1]	[2]	[3]	[4]	[5]	[6]	[7]	[8]	[9]	[10]
				Net	Net					
				Benefits	Benefits		COLI	COLI	COLI	
				Paid from	Paid from		Death	Loans and	Cash	COLI
				Company	COLI		Proceeds	Withdrawals	Surrender	Face
<u>Plan</u>	<u>Benefits</u>	<u>Tax</u>	<u>Net</u>	<u>Cash Flow</u>	<u>Assets</u>	<u>Premiums</u>	<u>Received</u>		<u>Value</u>	<u>Amount</u>
<u>Year</u>	<u>Payable</u>	<u>Deduction</u>	<u>Paid</u>							
22	(1,093,627)	229,662	(863,965)	0	(863,965)	0	331,874	840,100	15,277,043	24,146,659
23	(1,217,013)	255,573	(961,440)	0	(961,440)	0	0	1,054,217	15,066,371	23,079,231
24	(1,217,013)	255,573	(961,440)	0	(961,440)	0	0	1,054,217	14,840,179	21,998,186
25	(1,217,013)	255,573	(961,440)	0	(961,440)	0	0	1,054,217	14,597,457	20,899,236
26	(1,011,812)	212,480	(799,331)	0	(799,331)	0	533,723	1,011,812	14,079,288	19,291,784
27	(1,166,297)	244,922	(921,375)	0	(921,375)	0	0	1,166,297	13,681,865	18,114,558
28	(1,210,806)	254,269	(956,536)	0	(956,536)	0	607,985	1,210,806	12,905,778	16,472,316
29	(1,172,433)	246,211	(926,222)	0	(926,222)	0	260,362	1,172,433	12,317,947	15,300,583
30	(1,172,433)	246,211	(926,222)	0	(926,222)	0	0	1,172,433	11,832,252	14,415,851
35	(1,216,565)	255,479	(961,086)	0	(961,086)	0	98,026	1,216,565	8,311,993	9,746,179
40	(1,031,351)	216,584	(814,767)	0	(814,767)	0	0	1,031,351	4,959,036	6,039,254
45	(547,320)	114,937	(432,383)	0	(432,383)	0	0	547,320	2,163,690	2,703,452

Column 4 Net after-tax cost of benefits paid from Company assets during the the premium payment period; modest payments illustrated (if any) after premium payments end generally reflect later year shortfalls in COLI assets; designed to minimize excess COLI proceeds after net benefit payments are completed.

Column 5 Net after-tax cost of benefits paid from COLI assets after the end of the premium payment period.

Totals Represents Totals over the life of the program, not limited to the years displayed..



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Option 3 - SERP Benefit Funding Wherewithal Based on COLI Assets

	[3]	[3A]	[4]	[5]	[6]	[7]	[8]	[9]	[9A=7+8+9]	[10]
	Net	Cumulative	Net	Net		COLI	COLI	COLI		
Plan	Benefits	Net	Benefits	Benefits	COLI	Death	Loans and	Cash	COLI	COLI
Year	<u>Paid</u>	<u>Paid</u>	<u>Paid from</u>	<u>Paid from</u>	<u>Premiums</u>	<u>Proceeds</u>	<u>Withdrawals</u>	<u>Surrender</u>	<u>Asset</u>	<u>Face</u>
			<u>Cash Flow</u>	<u>COLI</u>		<u>Received</u>		<u>Value</u>	<u>Value</u>	<u>Amount</u>
Totals	(27,876,457)	(27,876,457)	(27,876,457)	0	(14,056,377)	77,037,344	0		77,037,344	
1	0	0	0	0	(1,841,943)	0	0	1,669,434	1,669,434	35,826,011
2	0	0	0	0	(1,841,943)	0	0	3,477,369	3,477,369	35,826,011
3	0	0	0	0	(1,841,943)	0	0	5,372,797	5,372,797	35,826,011
4	0	0	0	0	(1,841,943)	0	0	7,277,702	7,277,702	35,826,011
5	0	0	0	0	(1,841,943)	0	0	9,202,095	9,202,095	35,826,011
6	(162,109)	(162,109)	(162,109)	0	(1,106,450)	0	0	10,371,430	10,371,430	35,826,011
7	(162,109)	(324,218)	(162,109)	0	(1,106,450)	0	0	11,659,799	11,659,799	35,826,011
8	(233,930)	(558,147)	(233,930)	0	(922,207)	0	0	12,855,643	12,855,643	35,826,011
9	(264,244)	(822,392)	(264,244)	0	(855,778)	0	0	14,198,816	14,198,816	35,826,011
10	(264,244)	(1,086,636)	(264,244)	0	(855,778)	0	0	15,632,664	15,632,664	35,826,011
11	(264,244)	(1,350,880)	(264,244)	0	0	0	0	16,562,224	16,562,224	35,826,011
12	(362,163)	(1,713,043)	(362,163)	0	0	0	0	17,552,813	17,552,813	35,826,011
13	(362,163)	(2,075,207)	(362,163)	0	0	0	0	18,605,927	18,605,927	35,826,011
14	(362,163)	(2,437,370)	(362,163)	0	0	0	0	19,726,736	19,726,736	35,826,011
15	(432,736)	(2,870,106)	(432,736)	0	0	0	0	20,923,120	20,923,120	35,826,011
16	(579,056)	(3,449,161)	(579,056)	0	0	0	0	22,218,870	22,218,870	35,826,011
17	(579,056)	(4,028,217)	(579,056)	0	0	0	0	23,606,276	23,606,276	35,843,050
18	(579,056)	(4,607,273)	(579,056)	0	0	0	0	25,102,066	25,102,066	36,291,056
19	(579,056)	(5,186,328)	(579,056)	0	0	5,224,408	0	21,723,519	26,947,927	31,724,022
20	(579,056)	(5,765,384)	(579,056)	0	0	0	0	23,107,081	28,331,489	32,134,453
21	(646,470)	(6,411,854)	(646,470)	0	0	0	0	24,583,679	29,808,086	32,570,937

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Appendix C . 5



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Option 3 - SERP Benefit Funding Wherewithal Based on COLI Assets

	[3]	[3A]	[4]	[5]	[6]	[7]	[8]	[9]	[9A=7+8+9]	[10]
	Net	Cumulative	Net	Net		COLI	COLI	COLI		
Plan	Benefits	Net	Benefits	Benefits	COLI	Death	Loans and	Cash	COLI	COLI
Year	<u>Paid</u>	<u>Paid</u>	<u>Paid from</u>	<u>Paid from</u>	<u>Premiums</u>	<u>Proceeds</u>	<u>Withdrawals</u>	<u>Surrender</u>	<u>Asset</u>	<u>Face</u>
			<u>Cash Flow</u>	<u>COLI</u>		<u>Received</u>		<u>Value</u>	<u>Value</u>	<u>Amount</u>
22	(863,965)	(7,275,819)	(863,965)	0	0	1,033,240	0	25,177,428	31,435,075	32,146,169
23	(961,440)	(8,237,259)	(961,440)	0	0	0	0	26,799,627	33,057,274	33,014,618
24	(961,440)	(9,198,699)	(961,440)	0	0	0	0	28,532,744	34,790,391	33,992,565
25	(961,440)	(10,160,140)	(961,440)	0	0	0	0	30,380,820	36,638,467	35,112,815
26	(799,331)	(10,959,471)	(799,331)	0	0	2,476,228	0	29,993,908	38,727,783	34,029,823
27	(921,375)	(11,880,846)	(921,375)	0	0	0	0	31,942,735	40,676,611	35,733,350
28	(956,536)	(12,837,382)	(956,536)	0	0	4,830,060	0	29,419,394	42,983,329	32,860,309
29	(926,222)	(13,763,604)	(926,222)	0	0	2,042,177	0	29,390,047	44,996,160	32,627,329
30	(926,222)	(14,689,825)	(926,222)	0	0	0	0	31,304,715	46,910,827	34,454,119
35	(961,086)	(19,658,431)	(961,086)	0	0	4,321,696	0	31,472,237	57,758,186	33,817,662
40	(814,767)	(23,732,268)	(814,767)	0	0	0	0	32,223,166	67,417,866	34,093,575
45	(432,383)	(26,306,626)	(432,383)	0	0	0	0	18,459,398	76,080,063	19,382,366

Column 4 Net after-tax cost of benefits paid from Company assets during the the premium payment period; modest payments illustrated (if any) after premium payments end generally reflect later year shortfalls in COLI assets; designed to minimize excess COLI proceeds after net benefit payments are completed.

Column 5 Net after-tax cost of benefits paid from COLI assets after the end of the premium payment period.

Totals Represents Totals over the life of the program, not limited to the years displayed..



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Option 4 - SERP Benefit Funding from COLI Assets & Cost Recovery

	[1]	[2]	[3]	[4]	[5]	[6]	[7]	[8]	[9]	[10]
				Net	Net					
Plan	Gross	Benefit	Net	Benefits	Benefits		COLI	COLI	COLI	COLI
Year	Benefits	Tax	Benefits	Paid from	Paid from	COLI	Death	Loans and	Cash	Face
	<u>Payable</u>	<u>Deduction</u>	<u>Paid</u>	<u>Company</u>	<u>COLI</u>	<u>Premiums</u>	<u>Proceeds</u>	<u>Withdrawals</u>	<u>Surrender</u>	<u>Amount</u>
				<u>Cash Flow</u>	<u>Assets</u>		<u>Received</u>		<u>Value</u>	
Totals	(35,286,655)	7,410,197	(27,876,457)	(1,086,636)	(26,789,821)	(14,461,293)	6,724,367	35,347,809		
1	0	0	0	0	0	(1,895,003)	0	0	1,717,525	35,826,011
2	0	0	0	0	0	(1,895,003)	0	0	3,577,540	35,826,011
3	0	0	0	0	0	(1,895,003)	0	0	5,527,569	35,826,011
4	0	0	0	0	0	(1,895,003)	0	0	7,487,348	35,826,011
5	0	0	0	0	0	(1,895,003)	0	0	9,467,176	35,826,011
6	(205,201)	43,092	(162,109)	(162,109)	0	(1,138,323)	0	211,112	10,443,585	35,826,011
7	(205,201)	43,092	(162,109)	(162,109)	0	(1,138,323)	0	211,112	11,525,835	35,826,011
8	(296,114)	62,184	(233,930)	(233,930)	0	(948,773)	0	304,644	12,393,950	35,826,011
9	(334,487)	70,242	(264,244)	(264,244)	0	(880,430)	0	344,122	13,346,965	35,826,011
10	(334,487)	70,242	(264,244)	(264,244)	0	(880,430)	0	344,122	14,364,187	35,826,011
11	(334,487)	70,242	(264,244)	0	(264,244)	0	0	344,122	14,832,219	35,826,011
12	(458,434)	96,271	(362,163)	0	(362,163)	0	0	471,640	15,191,361	35,826,011
13	(458,434)	96,271	(362,163)	0	(362,163)	0	0	471,640	15,567,229	35,826,011
14	(458,434)	96,271	(362,163)	0	(362,163)	0	0	471,640	15,960,324	35,826,011
15	(547,768)	115,031	(432,736)	0	(432,736)	0	0	563,547	16,274,383	35,826,011
16	(732,982)	153,926	(579,056)	0	(579,056)	0	0	754,096	16,413,679	35,826,011
17	(732,982)	153,926	(579,056)	0	(579,056)	0	0	754,096	16,549,699	35,843,050
18	(732,982)	153,926	(579,056)	0	(579,056)	0	0	754,096	16,688,478	36,291,056
19	(732,982)	153,926	(579,056)	0	(579,056)	0	2,577,161	754,096	15,339,904	31,724,022
20	(732,982)	153,926	(579,056)	0	(579,056)	0	0	611,401	15,604,213	32,134,453
21	(818,317)	171,847	(646,470)	0	(646,470)	0	0	611,401	15,882,619	32,570,937

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Appendix C . 7



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Option 4 - SERP Benefit Funding from COLI Assets & Cost Recovery

	[1]	[2]	[3]	[4]	[5]	[6]	[7]	[8]	[9]	[10]
				Net	Net					
				Benefits	Benefits		COLI	COLI	COLI	
				Paid from	Paid from		Death	Loans and	Cash	COLI
				Company	COLI		Proceeds	Withdrawals	Surrender	Face
<u>Plan</u>	<u>Benefits</u>	<u>Tax</u>	<u>Net</u>	<u>Cash Flow</u>	<u>Assets</u>	<u>Premiums</u>	<u>Received</u>		<u>Value</u>	<u>Amount</u>
<u>Year</u>	<u>Payable</u>	<u>Deduction</u>	<u>Paid</u>							
22	(1,093,627)	229,662	(863,965)	0	(863,965)	0	341,434	864,301	15,717,123	32,146,169
23	(1,217,013)	255,573	(961,440)	0	(961,440)	0	0	1,084,585	15,500,382	33,014,618
24	(1,217,013)	255,573	(961,440)	0	(961,440)	0	0	1,084,585	15,267,674	33,992,565
25	(1,217,013)	255,573	(961,440)	0	(961,440)	0	0	1,084,585	15,017,960	35,112,815
26	(1,011,812)	212,480	(799,331)	0	(799,331)	0	549,098	1,040,959	14,484,864	34,029,823
27	(1,166,297)	244,922	(921,375)	0	(921,375)	0	0	1,199,894	14,075,993	35,733,350
28	(1,210,806)	254,269	(956,536)	0	(956,536)	0	625,499	1,245,685	13,277,550	32,860,309
29	(1,172,433)	246,211	(926,222)	0	(926,222)	0	267,862	1,206,206	12,672,785	32,627,329
30	(1,172,433)	246,211	(926,222)	0	(926,222)	0	0	1,206,206	12,173,099	34,454,119
35	(1,216,565)	255,479	(961,086)	0	(961,086)	0	100,850	1,251,610	8,551,433	33,817,662
40	(1,031,351)	216,584	(814,767)	0	(814,767)	0	0	1,061,061	5,101,889	34,093,575
45	(547,320)	114,937	(432,383)	0	(432,383)	0	0	563,086	2,226,018	19,382,366

Column 4 Net after-tax cost of benefits paid from Company assets during the the premium payment period; modest payments illustrated (if any) after premium payments end generally reflect later year shortfalls in COLI assets; designed to minimize excess COLI proceeds after net benefit payments are completed.

Column 5 Net after-tax cost of benefits paid from COLI assets after the end of the premium payment period.

Totals Represents Totals over the life of the program, not limited to the years displayed..



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Accounting for SERP Programs

SERP Accounting Treatment

The Financial Accounting Standards Board (FASB) is the rule-making body for the accounting profession. Any employer that follows generally accepted accounting principles (GAAP) as defined by FASB must comply with FASB pronouncements. Accounting for both "qualified" and "non-qualified" pension benefits is covered under FASB ASC 715-30, Compensation - Retirement Benefits, Defined Benefit Plans - Pension. This Standard supersedes Financial Accounting Standard No. 87, "Employer's Accounting for Pensions" (FAS 87), and Accounting Principles Board Opinion No. 8, "Accounting for the Cost of Pension Plans" (APB 8). Virtually all SERPs are subject to FASB ASC 715-30.

For fiscal years ending after December 15, 2006, accounting for pensions must comply with the requirement that the present value of the future retirement benefit payments be recognized as a liability on the financial statements of the employer. The determination is based on the unfunded Projected Benefit Obligation (PBO). There is a specific methodology by which the employer must calculate these liabilities. These determinations will impact both the employer's earnings statement and balance sheet.

FASB ASC 740-10, Income Taxes, Overall employs an asset and liability approach to deferred income tax accounting. This approach requires an employer to recognize current taxes payable / refundable and to record the future tax consequences of "temporary differences" between financial reporting for the current year and tax return accounting methods and the basis of assets and liabilities. Deferred tax assets are reduced, if necessary, by the amount of any tax benefits that, based on available evidence, are not likely to be realized (valuation reserve). Adoption of this Standard was required for fiscal years beginning after December 15, 1992.

COLI Accounting Treatment

COLI is accounted for independently of the SERP, in accordance with the "Cash Surrender Value" method of accounting (FASB ASC 325-30, Investments - Other, Investments in Insurance Contracts). Under this Standard, the net difference between each premium payment, cash surrender value change, and net death proceeds received is charged or credited to the employer's earnings. Premium payments are not deductible, while both cash surrender value increases and death proceeds received should be nontaxable.

FASB ASC 740-10 generally does not require tax to be provided on COLI gains since the COLI coverage is projected to be maintained by the employer until the death of each insured, even if the insured were to leave the employ of the employer. Since the financial structure of SERP•PLUS anticipates no policy surrenders prior to any insured's death, no deferred tax liability on COLI gains should be required.



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Informational Overview - SERPs

- ☐ A SERP is a "nonqualified", "unfunded" plan generally designed to provide supplemental retirement and/or survivor benefits to a select group of key management or highly compensated personnel, and/or outside directors, or partners. Nonqualified means that the SERP is not entitled to special tax treatment. However, a SERP is not encumbered by the coverage and benefit restrictions imposed on "qualified" plans by the Internal Revenue Code (IRC). Furthermore, the employer is generally not required to comply with nondiscrimination rules that are imposed on "qualified" plans under ERISA.
- ☐ Unfunded means that none of the assets used to fund the SERP may be placed beyond the claims of the employer's general creditors. However, employers may informally set aside assets, including COLI on participants' lives, intended to finance SERP benefit payments as long as the covered SERP participant does not obtain a legal interest in these assets greater than that of a general creditor.
- ☐ SERPs require no qualification by the Internal Revenue Service. Information reporting is required for tax purposes with regards to SERP benefit for plan participants. A one time notification letter to the Labor Department that a SERP has been established will generally satisfy ERISA reporting requirements. ERISA periodic reporting and disclosure are generally not required. Benefits may vary from participant to participant, at the employer's sole discretion. Benefit vesting schedules may generally be as flexible as the employer desires. However, in not-for-profit organizations, benefits are typically vested only upon retirement, to avoid early taxation of the benefits.
- ☐ The employer may deduct SERP payments when made to a participant [IRC Sec. 404(a)(5)] or to his/her survivors [IRC Sec. 162] as ordinary business expenses (so long as the payments are not held to be unreasonable).
- ☐ Deferred tax assets relating to the temporary differences in timing of the employer's deductions for the SERP benefits are recognized under FASB ASC 740-10.
- ☐ Generally, SERP benefits paid to a retired employee are fully taxable as ordinary income [IRC Sec 61(a)]. Furthermore, SERP benefits should not cause a loss of Social Security benefits because they are considered "earned" when no longer subject to a substantial risk of forfeiture, usually during the period of active employment [SSR73-30].
- ☐ SERP benefits paid to a deceased participant's survivors are regarded as income in respect of a decedent [IRC Sec. 691(a)]. The present value of the survivor benefits will ordinarily be includable in the deceased participant's gross estate for federal estate tax purposes [IRC Sec. 2039(a)]. However, the survivors or estate who receive the benefit payments may be entitled to an income tax deduction for any federal estate taxes attributable to the present value included in the participant's estate [IRC Sec. 691(c)(1)(A)]. Benefits payable to a surviving spouse may qualify for the marital deduction and may not incur federal estate taxes.
- ☐ SERP benefits paid to employees of not-for-profit organizations, under an IRC Sec. 457(f) plan, are generally subject to income taxation upon vesting based on the present value of benefits; subsequent payments are received, in-part, income tax free, based upon an annuity exclusion ratio.

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Informational Overview - COLI

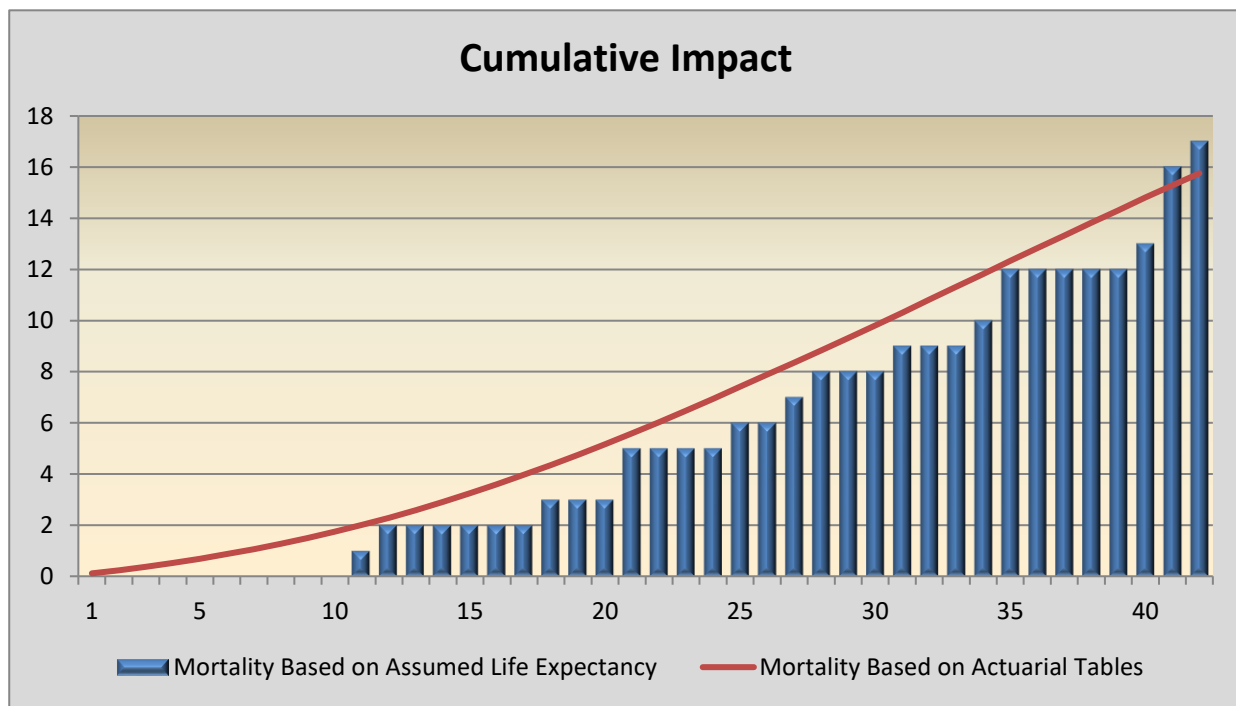
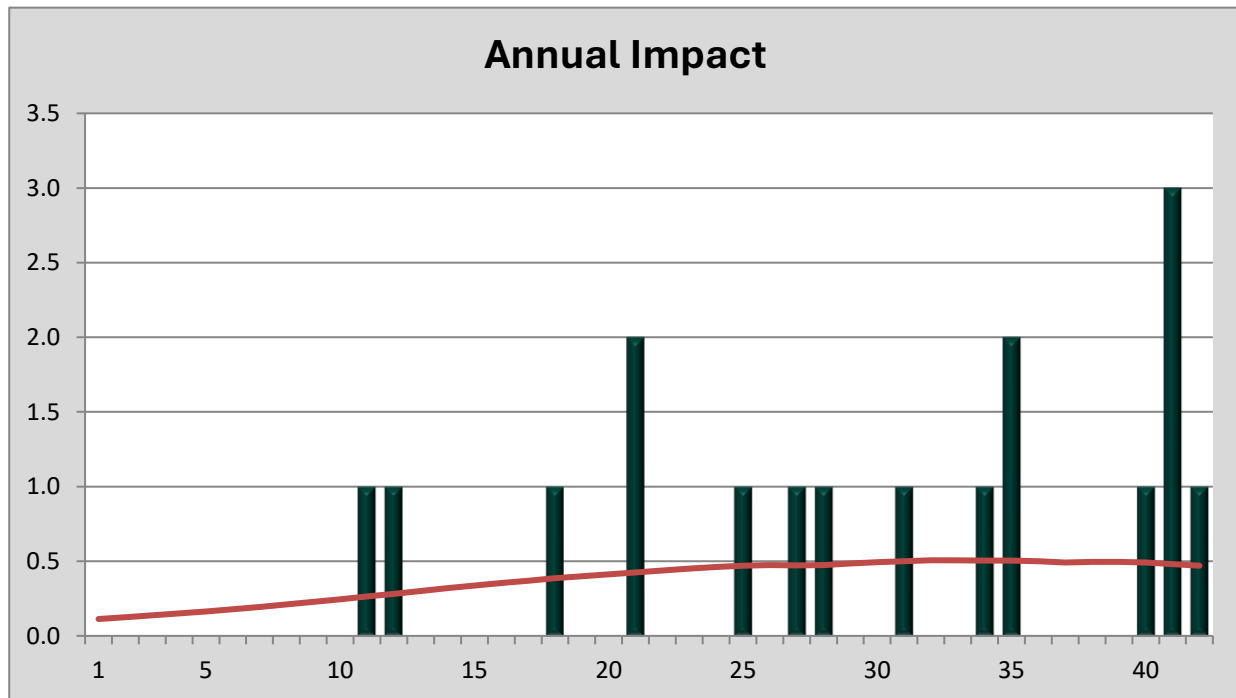
- ☐ The employer purchases life insurance coverage on a select group of employees, directors, or partners, often those participating in a SERP or survivor benefit plan. The employer owns, pays the premiums, and is the sole beneficiary of this life insurance. Upon the death of an insured, the employer receives the life insurance proceeds.
- ☐ COLI coverage is generally limited to the top 35% of all employees, as measured by compensation, or employees who received in excess of a statutory amount, \$160,000 for 2025, adjusted annually for inflation (IRC Section 101(j))
- ☐ COLI offers the employer a funding vehicle which can be designed to meet several objectives, including:
 - ☐ provides "cost recovery" as mortality occurs by reimbursing the employer for the direct and indirect costs of the program, including the assumed cost of funding the net after tax benefit payments from the insurance assets
 - ☐ provides the employer with the "funding wherewithal" for net after-tax benefit commitments when due;
 - ☐ protects the employer against risk exposure resulting from participants' premature deaths;
 - ☐ offsets the financial statement impact of accruing the cost of executive retirement benefits.
- ☐ Since the employer is the COLI policy owner and beneficiary, it cannot deduct the premiums paid (IRC Section 264 (a)(1)). However, the policy cash surrender values will be carried as an asset on the employer's balance sheet. The net annual charge or credit to cash earnings is the difference between the annual premium paid, the annual change in the cash surrender value, and the annual death proceeds received.
- ☐ The lump-sum COLI death proceeds received by the employer at each insured's death will generally be free of federal income taxes [IRC Sec. 101(a)(1)].
- ☐ Interest paid or accrued on any indebtedness with respect to COLI policies is generally not deductible.
- ☐ COLI cash surrender value increases and death proceeds could become subject to a corporate employer's Alternative Minimum Tax (AMT) liability. However, any such AMT can generally be used as a tax credit in favor of the corporation in a future year when AMT does not apply. Further, FASB ASC 740-10 may allow the tax credit to be recognized as an asset for financial statement purposes
- ☐ Information reporting is required for tax purposes with regards to life insurance on covered employees.



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Appendix E . 2

Comparison of Impact of Mortality Assumptions Life Expectancy versus Actuarial Tables ("Partial Mortality")



Youngest Participant = Age 58; Oldest Participant = Age 58; Life Expectancy = Age 64



Comparison of Impact of Mortality Assumptions Life Expectancy versus Actuarial Tables ("Partial Mortality")

Life Expectancy			Actuarial Tables		Life Expectancy			Actuarial Tables	
BOY			BOY		BOY			BOY	
Year	Living	Deaths	Living	Deaths	Year	Living	Deaths	Living	Deaths
1	21	0	21.000	0.113					
2	21	0	20.887	0.124					
3	21	0	20.763	0.137					
4	21	0	20.626	0.150					
5	21	0	20.476	0.163					
6	21	0	20.313	0.178					
7	21	0	20.135	0.194					
8	21	0	19.941	0.211					
9	21	0	19.731	0.228					
10	21	0	19.502	0.246					
11	21	1	19.256	0.264					
12	20	1	18.993	0.282					
13	19	0	18.711	0.300					
14	19	0	18.410	0.319					
15	19	0	18.091	0.337					
16	19	0	17.754	0.354					
17	19	0	17.400	0.370					
18	19	1	17.030	0.385					
19	18	0	16.644	0.399					
20	18	0	16.246	0.412					
21	18	2	15.834	0.426					
22	16	0	15.408	0.438					
23	16	0	14.970	0.450					
24	16	0	14.520	0.462					
25	16	1	14.059	0.471					
26	15	0	13.588	0.474					
27	15	1	13.114	0.473					
28	14	1	12.641	0.475					
29	13	0	12.167	0.484					
30	13	0	11.683	0.493					
31	13	1	11.189	0.500					
32	12	0	10.689	0.506					
33	12	0	10.183	0.506					
34	12	1	9.677	0.504					
35	11	2	9.173	0.505					
36	9	0	8.668	0.500					
37	9	0	8.168	0.492					
38	9	0	7.676	0.495					
39	9	0	7.181	0.496					
40	9	1	6.685	0.491					
41	8	3	6.194	0.481					
42	5	1	5.713	0.470					
43	4	0	5.243	0.454					

Notes:

- RP-2000 "white collar" table with scale AA
- " improvements through to current year."
- First whole life projected to have matured by the end of year 7



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Glossary for Page 3.2

Salary at Retirement Age	A projection based on the participant's current salary with assumed 3.00% per year salary increases
5-Year Final Average Salary (FAS)	The average of the projected highest consecutive five years of salary
Initial Pre-Ret[irement] Survivor Benefits	A Participant's total current survivor benefit based on current salary, assuming death occurs in the current plan year
Final Pre-Ret[irement] Survivor Benefits	A Participant's total survivor benefit assuming death occurs in the year prior to retirement, based on projected Salary at Retirement Age
Annual SERP Percent FAS	The percentage (as determined by Plan provisions) by which FAS is multiplied, to determine the annual Plan retirement benefit
Annual SERP Benefit	FAS multiplied by Annual SERP Percent of FAS to determine the amount of the annual Plan retirement benefit
Total SERP Benefits to Life Expectancy	Total SERP benefits projected to be paid between Normal Retirement Age and the Participant's assumed Life Expectancy



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Glossary for Pages 5.2-1 through 5.2-4

Pre-Tax SERP Earnings Impact	The annual expense the Company would accrue for the SERP program
Benefit Tax Deduction	The tax benefit to the Company of deducting the amount in Column 1
Net SERP Earnings Impact	The after-tax expense to the Company for the SERP (Column 1 minus Column 2)
Hypothetical COLI Earnings Impact	The projected earnings the Company would reflect from its COLI asset (net increase in cash surrender value plus net death benefits received minus premiums paid)
Combined Earnings Impact	Net SERP Earnings Impact less Hypothetical COLI Earnings Impact (Column 3 minus Column 4)



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Glossary for Page 6.5

Service Cost	Accrual of current year's cost of providing SERP benefit
Prior Service Cost Level Amort[ization]	Cost of SERP benefit attributable to service prior to the adoption of the Plan, being amortized on a level basis over average remaining working life
Interest Accrual	Interest on accrued SERP expense
Total Pension Cost	Total SERP expense for the year (Columns 1, 2 & 3)
Gross Benefit Payment	The SERP benefit paid during the year
Annual Unfunded Accrued Pension Cost	The annual pension cost that is considered for accounting purposes as "unfunded" (Column 4 minus Column 5)
EOY Unfunded Accrued Pension Cost	The cumulative Unfunded Accrued Pension Cost at year-end (EOY)
BOY Unrecog[nized] Prior Service Cost	The cost of the SERP benefit attributable to service prior to the adoption of the Plan, which at the beginning of the year (BOY) had not yet been charged to income
EOY Unrecog[nized] Prior Service Cost	The cost of the SERP benefit attributable to service prior to the adoption of the Plan, which at the end of the year (EOY) had not yet been charged to income



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Glossary for Appendix B

Total Survivor Benefit Payable	The total amount payable to a Participant's designated beneficiary if Participant died either in the Current Year, or in the year prior to Normal Retirement Age (NRA minus 1). See Page 3.2.
After-tax Total Survivor Benefit Payable	The after-tax cost to the Company of paying the Survivor Benefit (the total Survivor Benefit less the tax benefit of deducting that amount)
COLI Face Amount Cost Recovery Option	The projected death benefit payable on the death of the named Participant, both in the current year and in the year prior to Normal Retirement Age, assuming the Company adopted Cost Recovery, Option 1
COLI Face Amount Policy Funding Option	The projected death benefit payable on the death of the named Participant, both in the current year and in the year prior to Normal Retirement Age, assuming the Company adopted Policy Funding, Option 2
Ratio of COLI Face Amount to After-tax Survivor Benefit	Comparison of (1) the amount that would be received upon the death of a participant to (2) the Company's after-tax survivor benefit liability (1 divided by 2)



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Glossary for Appendix C

Gross Benefits Payable	Total SERP benefits payable by the Company during the year
Benefit Tax Deduction	The tax benefit to the Company of deducting the Gross Benefits Payable amount in Column 1
Net Benefits Paid	The after-tax cost to the Company of paying the benefits (Column 1 minus Column 2)
Net Benefits Paid from Company Assets	The Net Benefits Paid from the Company's own cash resources
Net Benefits Paid from COLI Assets	Option 1 - none, as COLI values are assumed not used to generate cash to pay benefits Option 2 - the amounts assumed borrowed or withdrawn from COLI assets to pay Net Benefits
COLI Premiums	The amount of COLI premiums paid
COLI Death Proceeds Received	The amount received by the Company upon the death of an insured, based upon assumed Life Expectancy
COLI Loans and Withdrawals	Option 1 - none, as COLI values are assumed not used to generate cash to pay benefits Option 2 - The amounts assumed borrowed or withdrawn from COLI assets to pay benefits
COLI Cash Surrender Value	The amount that would be received by the Company if all COLI policies were surrendered
COLI Face Amount	The total death benefits payable on the COLI policies if all insureds were to die during that year

Charles P Johnson & Associates Summary

Executive Summary
Specifications & Actuarial Assumptions

Participants	
Individuals in Plan	21
Average Age	52
Projected Benefit Value	\$35,286,655

Financial Overview	
Benefits Payable	35,286,655
Tax Deduction	7,410,198
After Tax Benefit Cost	27,876,457
Annual COLI Premium	790,803
Cumulative COLI Premium	5,938,592



Cash Flow Impact	
Funding Wherewithal (Millions)	
COLI Accumulated Values	\$41.1
Benefits Payable	-\$35.3
A/T Benefits Cost	-\$27.9
Cost Recovery (Millions)	
SERP Benefits	\$27.9
COLI Premiums	\$5.9
Use of Cash Factor	\$7.3
	\$41.1

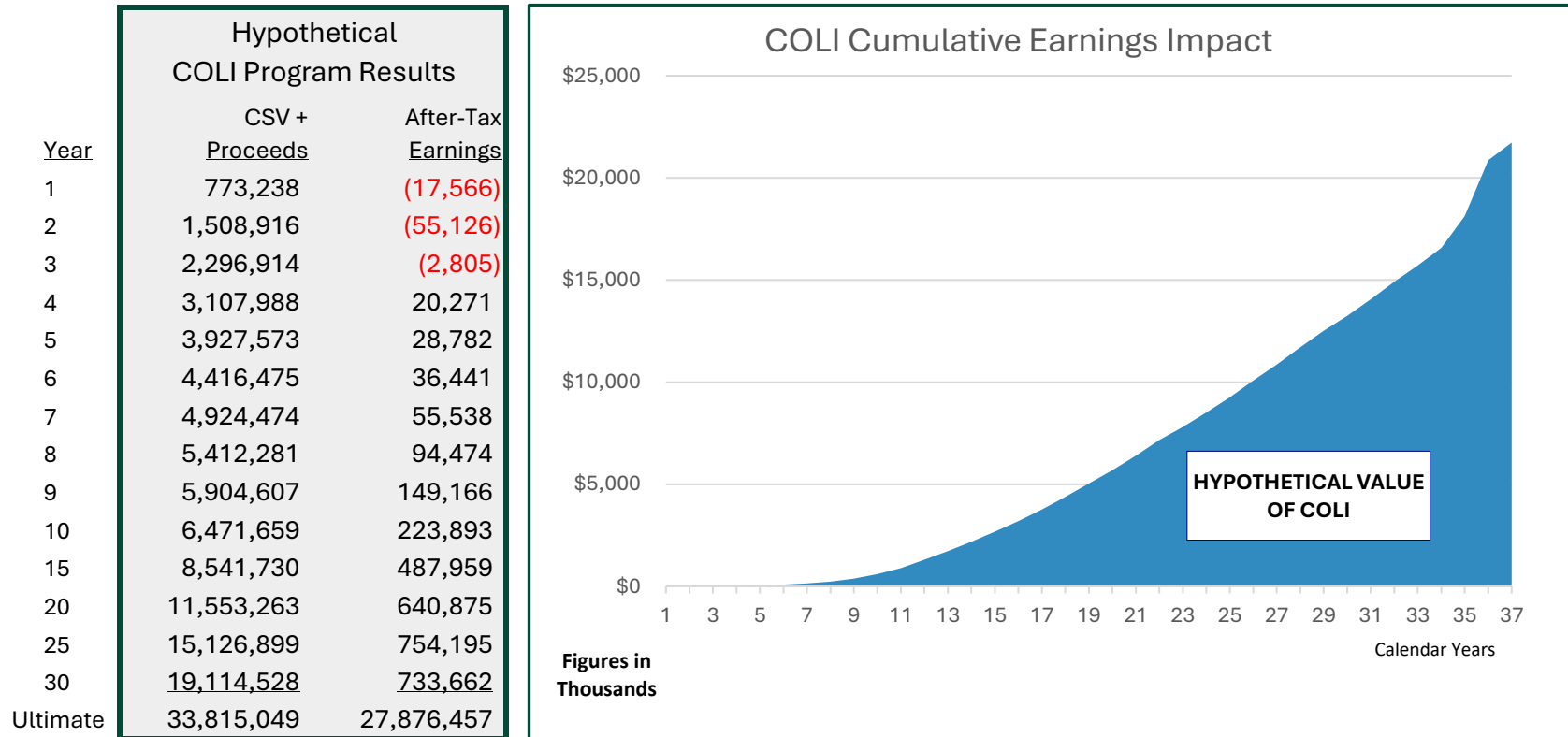
Earnings Impact	
First Year (Thousands)	
SERP A/T Accrual	\$178.5
COLI Gain	(\$70.3)
Total	\$108.3
COLI Accretive to Earnings from Year 4	
COLI Ultimate Gain	\$32,503,534

Model Run Date 10/27/2025

Note: See Disclosure Report and Basic Illustratio for important information about Assumptions, Guarantees, and applicable Federal Tax and Securities Laws

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Hypothetical Value of COLI - Cost Recovery Basis (Option 1)



- ☐ COLI Level Annual Premium = \$ 790,803
- ☐ COLI Hypothetical Total Gain = \$ 27,876,457
- ☐ COLI Hypothetical Total Return = \$ 33,815,049
- ☐ COLI is Accretive to Earnings from Year 4